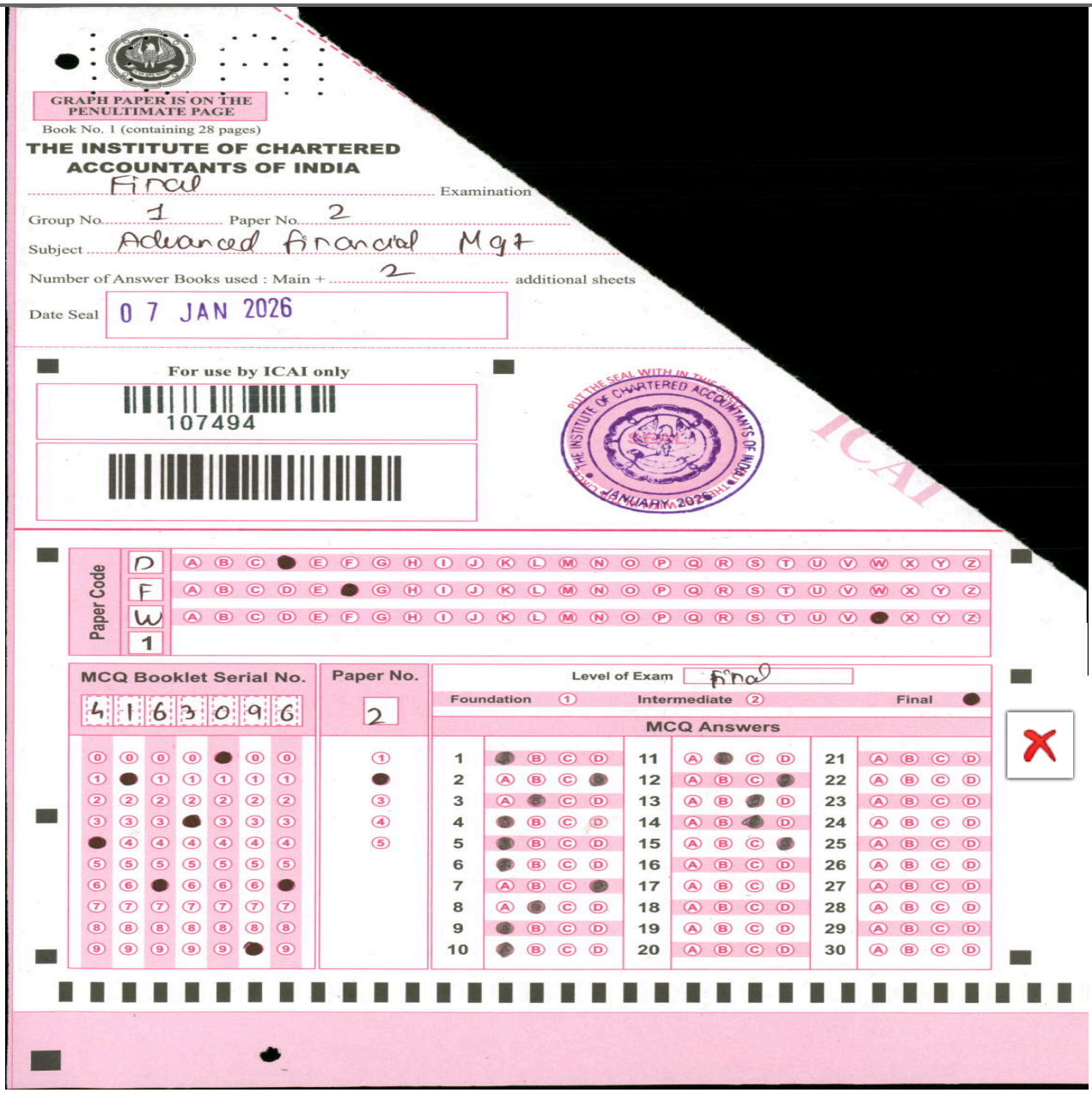
The Institute of Chartered Accountants of India

Code: FN2AF107494 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 47



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

Final Examination

Group No. 1 Paper No. 2

Subject Advanced financial Mgt

Number of Answer Books used : Main + 2 additional sheets

Date Seal 07 JAN 2026

For use by ICAI only

107494

Paper Code: D F W 1

MCQ Booklet Serial No.: 4 1 6 3 0 9 6

Paper No.: 2

Level of Exam: Final

Foundation (1) Intermediate (2) Final

MCQ Answers

1		11	C	21	
2		12	D	22	
3	B	13		23	
4		14	D	24	
5		15	D	25	
6		16		26	
7	D	17		27	
8	B	18		28	
9		19		29	
10		20		30	

The Institute of Chartered Accountants of India

Code: FN2AF107494 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 47

ATE

...e cover

...OMR portion

...ppropriate space at the

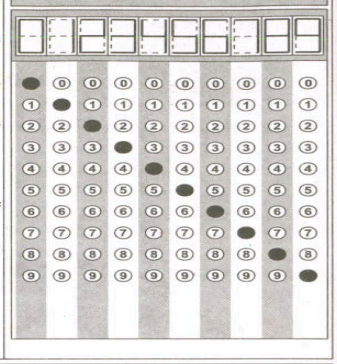
...affix the same on box provided

...umber written in numbers, words and
...n wrongly, Institute will not take any

...page and question number prominently written at the
...should be distinctly written in the margin.
...lly completed in one page or in a consecutive set of pages,

...the space provided for the purpose or writing distinguishing mark,
..., etc., will tantamount to adoption of "unfair means"
...k to the invigilator take care to score out (X) blank pages, if any, that you

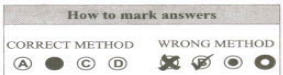
Illustration for Filling the MCQ Booklet Serial No.



...ONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

...ncil to Darken the appropriate Circle.
...en the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.
... candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.
...arken the complete circle.
...u want to change your Answer, erase the darkened circle completely and make a fresh mark.
...lease do NOT make any stray marks on the OMR cover page.
5. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers



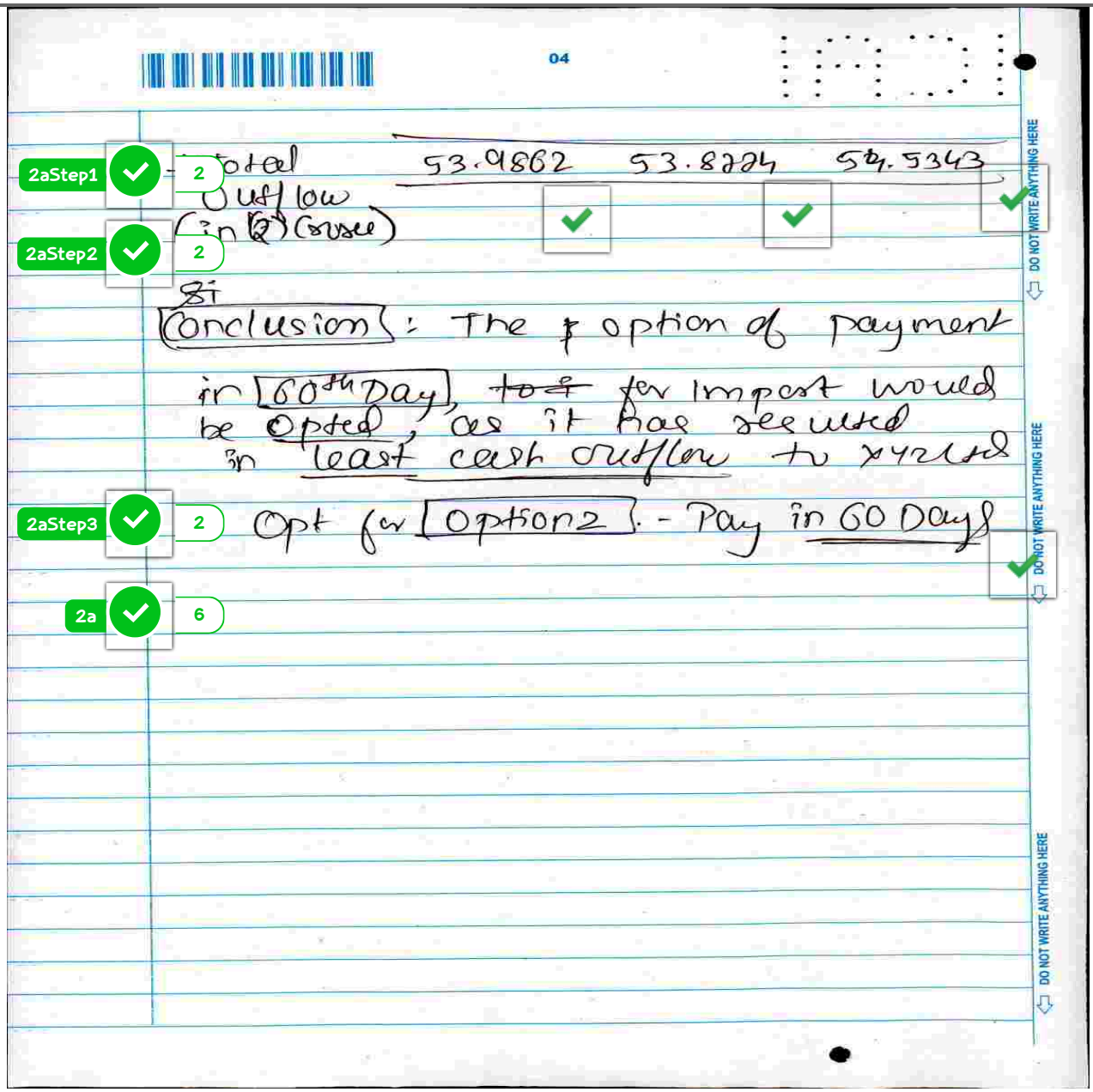
Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	☐	8	☐
2	☐	9	☐
3	☐	10	☐
4	☐	11	☐
5	☐	12	☐
6	☐	13	☐
7	☐	14	☐
Total		Total	

03

Q2(a)

Q2(a)

		Option 1 Pay Immediate	Option 2 Pay on 60th Day	Option 3 Pay on 90th Day
	Amt in ($M)			
	Payable	$80,00,000	$80,00,000	$80,00,000
(-)	Discount @12	($ 50,000) [80,00,000 × 12]	—	—
(+)	Interest @8	—	—	$ 53,333 [80,00,000 × 8% × 30/360]
		$79,20,000	$80,00,000	~~$80,00,000~~ $80,53,333
	Exch Rate 1$ =	₹66.98	₹67.16	₹68.03
	Amt in (₹) Cr	53.0482	53.7280	54.7868
(-)	Cash available	(0.25)	(0.2517) [0.25 × (1+0.04 × 60/360)]	(0.2525) [0.25 × (1+0.04 × 90/360)]
	∴ Loan Amt	52.7982 ✔	53.4763 ✔	54.5343 ✔
(+)	Interest @9%	1.1880 [52.7982 × 9% × 90/360]	0.4011 [53.4763 × 9% × 30/360]	—


04
2aStep1
2
Total Outflow 53.9862 53.8724 54.5343
(in ₹) (crore)
2aStep2
2
Conclusion: The ₹ option of payment in 60th Day, for import would be opted, as it has resulted in least cash outflow to ₹ crore
2aStep3
2
Opt for Option2 - Pay in 60 Days
2a
6
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

05

Q2(b)

Q2(b)

WN① - Calculation of Retained earning (Internal funds available)

in ₹ Cr.

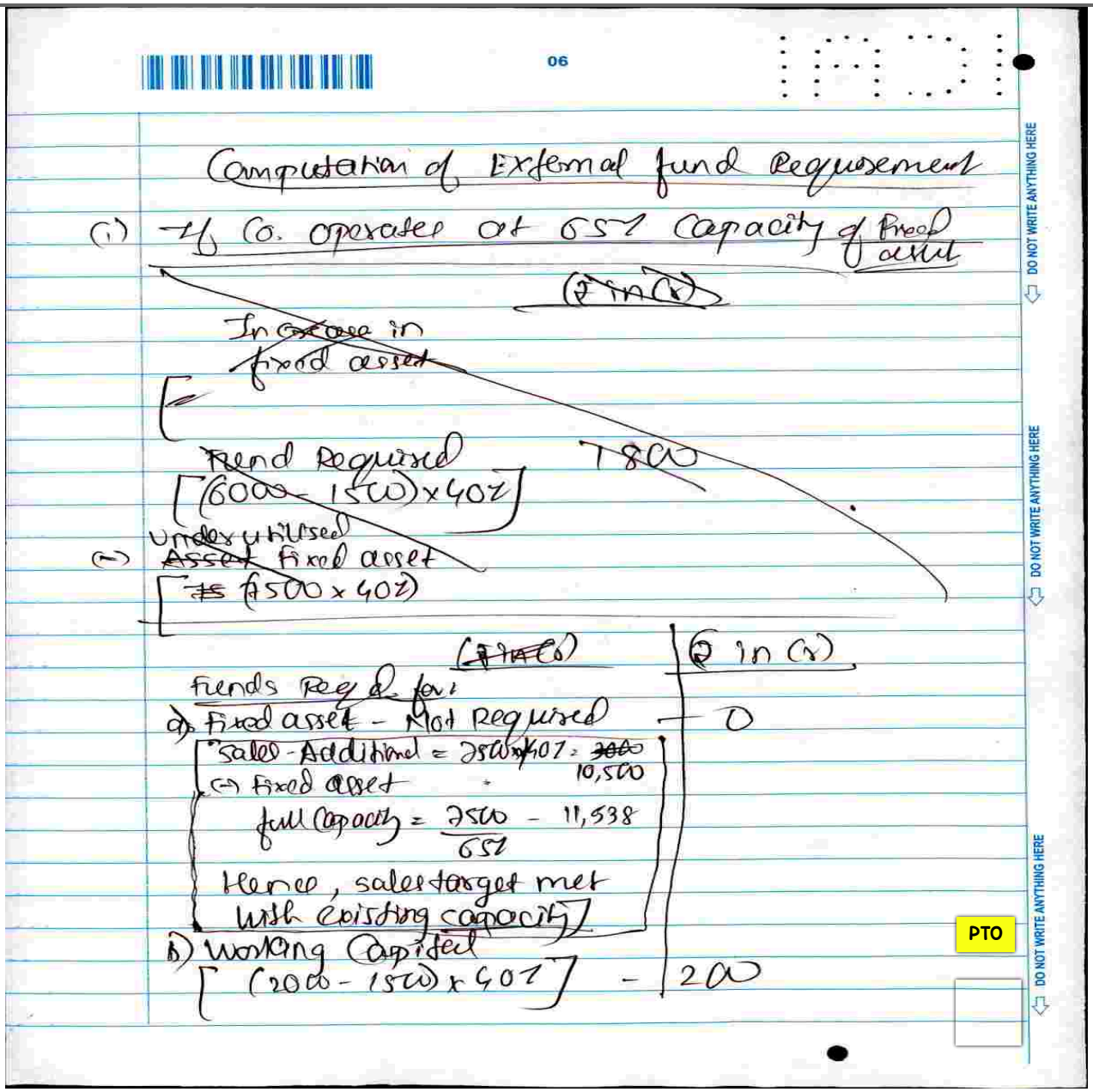
Sales (7500 × 140%)	10,500
(-) Cost (7300 × 140%)	(10,220)
∴ PBT	280
(-) Tax @30%	(84)
Profit after Tax	196
(-) Dividend distributed (196 × 25%)	(49)
∴ Retained earnings available for funding	147

To

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE



06

Computation of External fund Requirement

(i) If Co. operates at 65% capacity of fixed asset

(₹ in Cr)

~~Increase in fixed asset~~

Fund Required [(6000 - 1500) × 40%] 1800

~~Under utilised Asset~~ Fixed asset [~~₹~~ (500 × 40%)

(₹ in Cr)

Funds Req. for:

a) Fixed asset - Not Required — 0

~~Sales~~ Additional Sales = 2500 × 40% = ~~2000~~ 10,500

Fixed asset full Capacity = 7500 / 65% = 11,538

Hence, sales target met with existing capacity

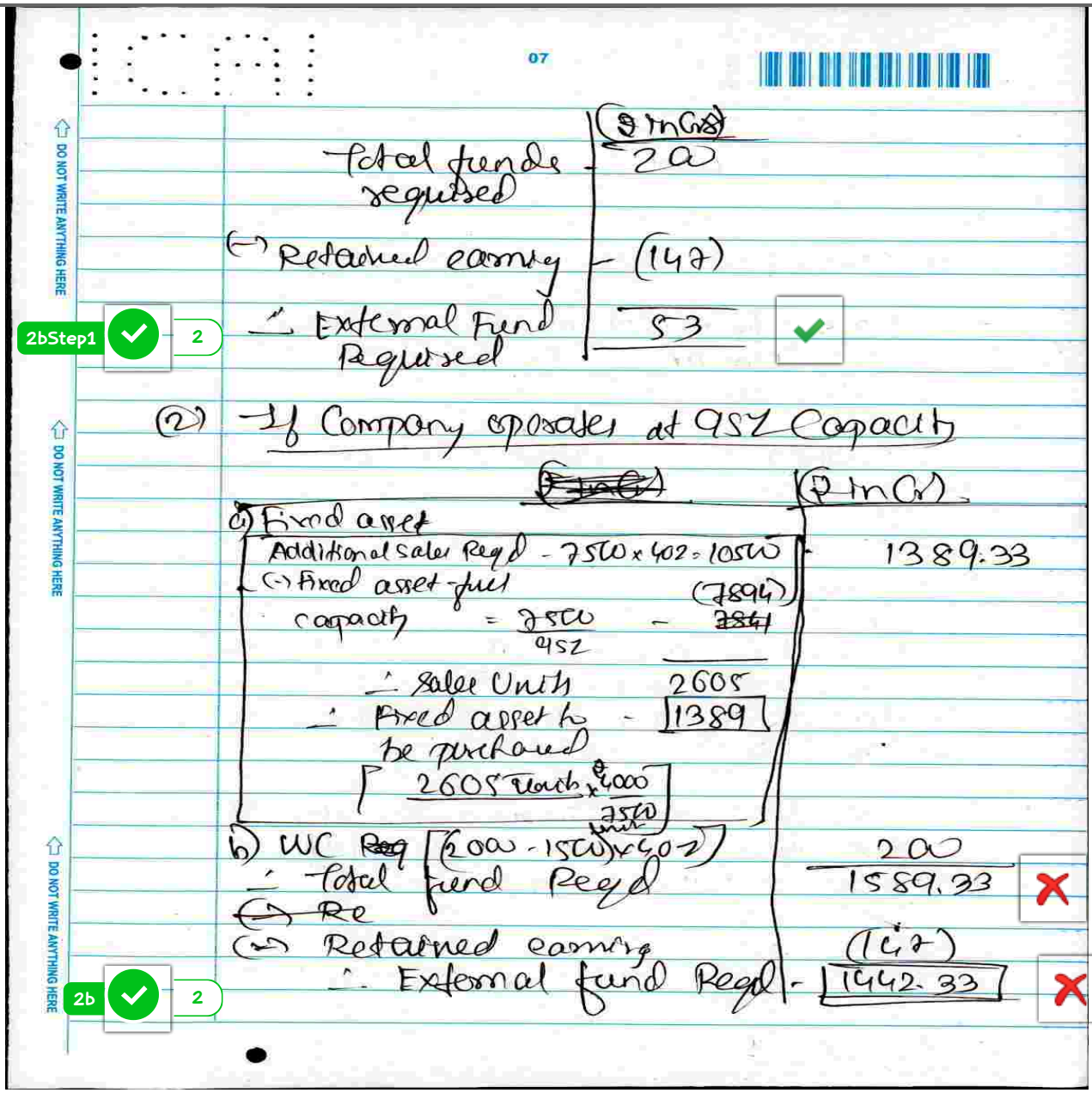
b) Working Capital [(2000 - 1500) × 40%] — 200

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

PTO



07

DO NOT WRITE ANYTHING HERE

Total funds required — (₹ in Cr) 200

↳ Retained earning — (147)

∴ External Fund Required — 53

2bStep1 2

(2) If Company operates at 95% capacity

(₹ in Cr)

a) Fixed asset

Additional sales Reqd - 7500 × 40% = 1050

↳ Fixed asset - full capacity = 7500 / 95% = (7894)

∴ Sales Unit — 2605

∴ Fixed asset to be purchased — 1389

2605 Truck × ₹4000 / 750 unit — 1389.33

b) WC Req [200 - 150) × 40%]

∴ Total fund Reqd — 200 / 1589.33

↳ Retained earning — (147)

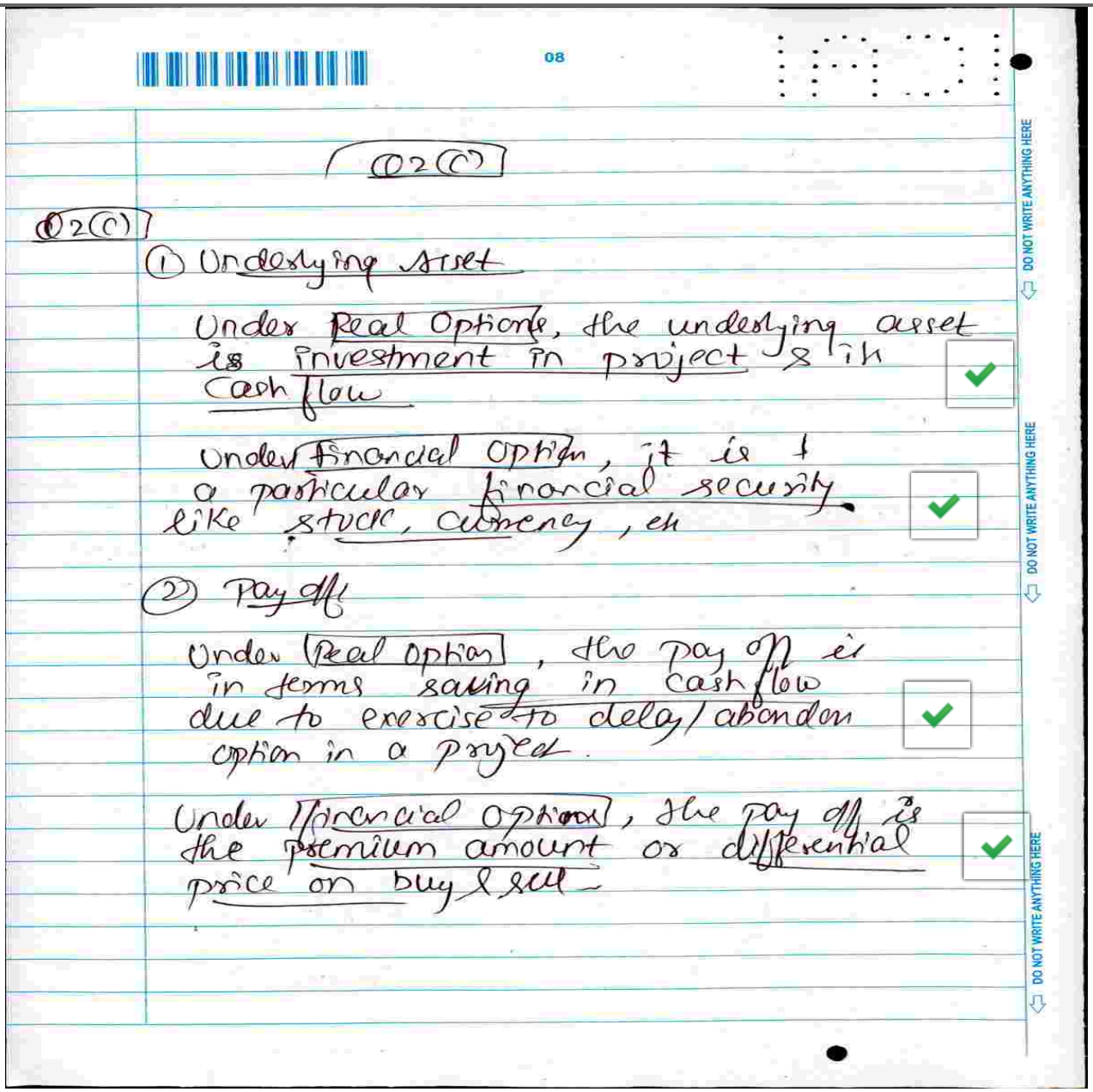
∴ External fund Reqd — 1442.33

2b 2

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE



08

Q2(c)

Q2(c)

(1) Underlying Asset

Under Real Options, the underlying asset is investment in project & its Cash flow

Under Financial Option, it is a particular financial security like stock, currency, etc

(2) Pay off

Under Real option, the pay off is in terms saving in cash flow due to exercise to delay/abandon option in a project.

Under Financial options, the pay off is the premium amount or differential price on buy & sell

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

09

(3) Exercise period :

Under [Real options], the exercise period is generally customised in nature, and are not traded on exchanges.

Under [financial option], the exercise period is pre-determined on exchange itself

(4) Approach :

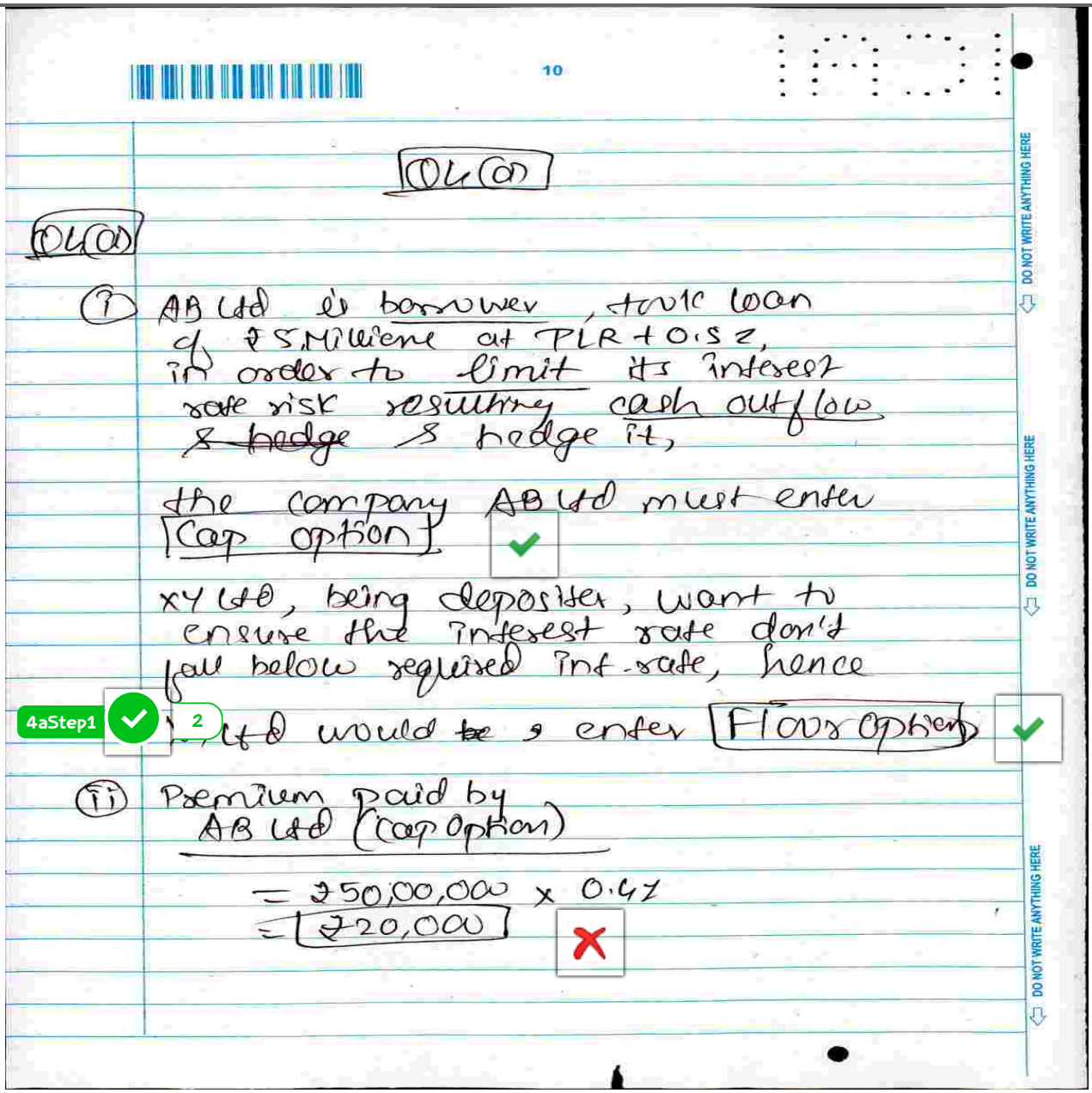
Under [Real option], it is specific to decision making, for businesses to invest in a particular project.
eg saving or abandonment option in future when business suffer loss.

Under [financial option], it is more related to hedging, speculation & fetching arbitrage opportunity & not related to project investment.

2cStep1 3

2c 3

2 11



10

Q4(a)

Q4(a)

(i) AB Ltd is borrower, took loan of ₹5 Million at PLR + 0.5%, in order to limit its interest rate risk resulting cash outflow & hedge it,

the company AB Ltd must enter [Cap option]

XY Ltd, being depositer, want to ensure the interest rate don't fall below required Int. rate, hence

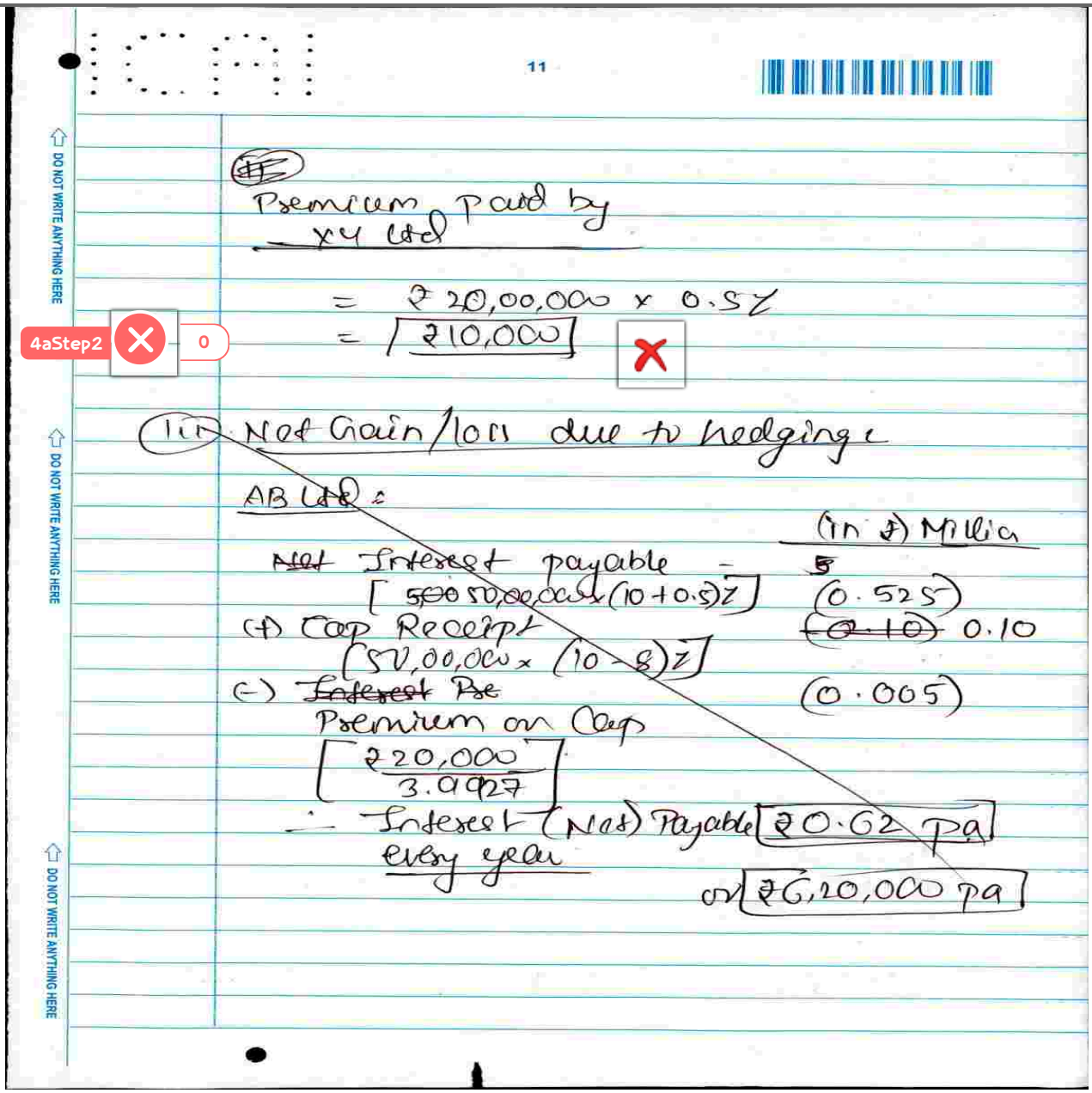
4aStep1 2 Ltd would be enter [Floor option]

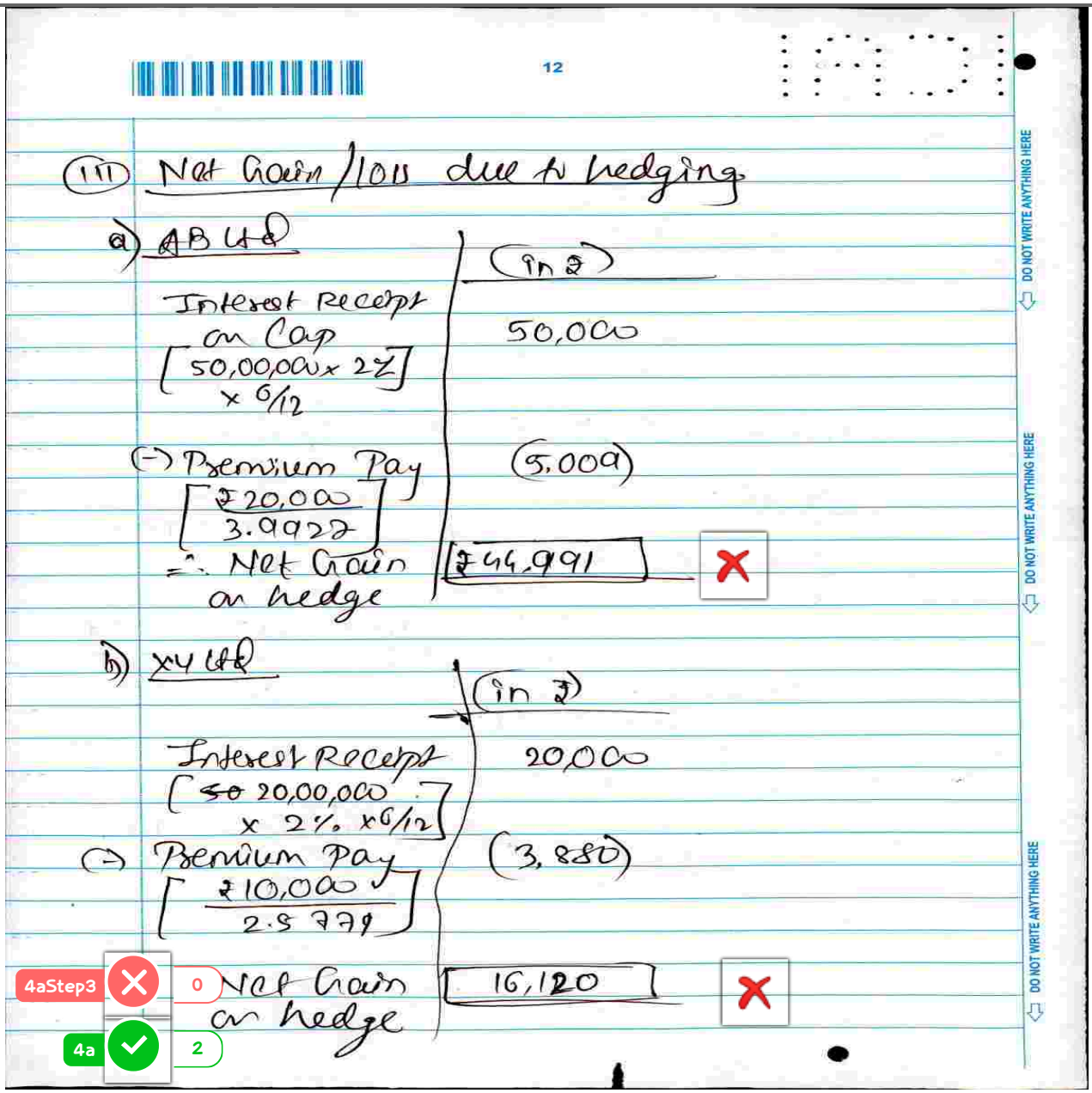
(ii) Premium paid by AB Ltd (Cap Option)

= ₹50,00,000 × 0.4%

= [₹20,000]

DO NOT WRITE ANYTHING HERE


11
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
4aStep2
0
Premium paid by XY Ltd
= ₹ 20,00,000 × 0.5%
= ₹10,000
(ii) Net Gain/loss due to hedging :
AB Ltd :
(in ₹) Millions
Interest payable
[500 50,00,000 × (10+0.5)%]
(0.525)
(+) Cap Receipt
[50,00,000 × (10 − 8)%]
0.10
(−) Premium on Cap
[₹20,000 / 3.9927]
(0.005)
∴ Interest (Net) Payable ₹0.62 pa
every year
or ₹6,20,000 pa



12

(iii) Net Gain/loss due to hedging

a) AB Ltd

	(in ₹)
Interest Receipt on Cap [50,00,000 × 2% × 6/12]	50,000
(-) Premium Pay [₹20,000 / 3.9922]	(5,009)
∴ Net Gain on hedge	₹44,991

b) XY Ltd

	(in ₹)
Interest Receipt [₹ 20,00,000 × 2% × 6/12]	20,000
(-) Premium Pay [₹10,000 / 2.5771]	(3,880)
Net Gain on hedge	16,120

4aStep3 0

4a 2

13

Q4(b)

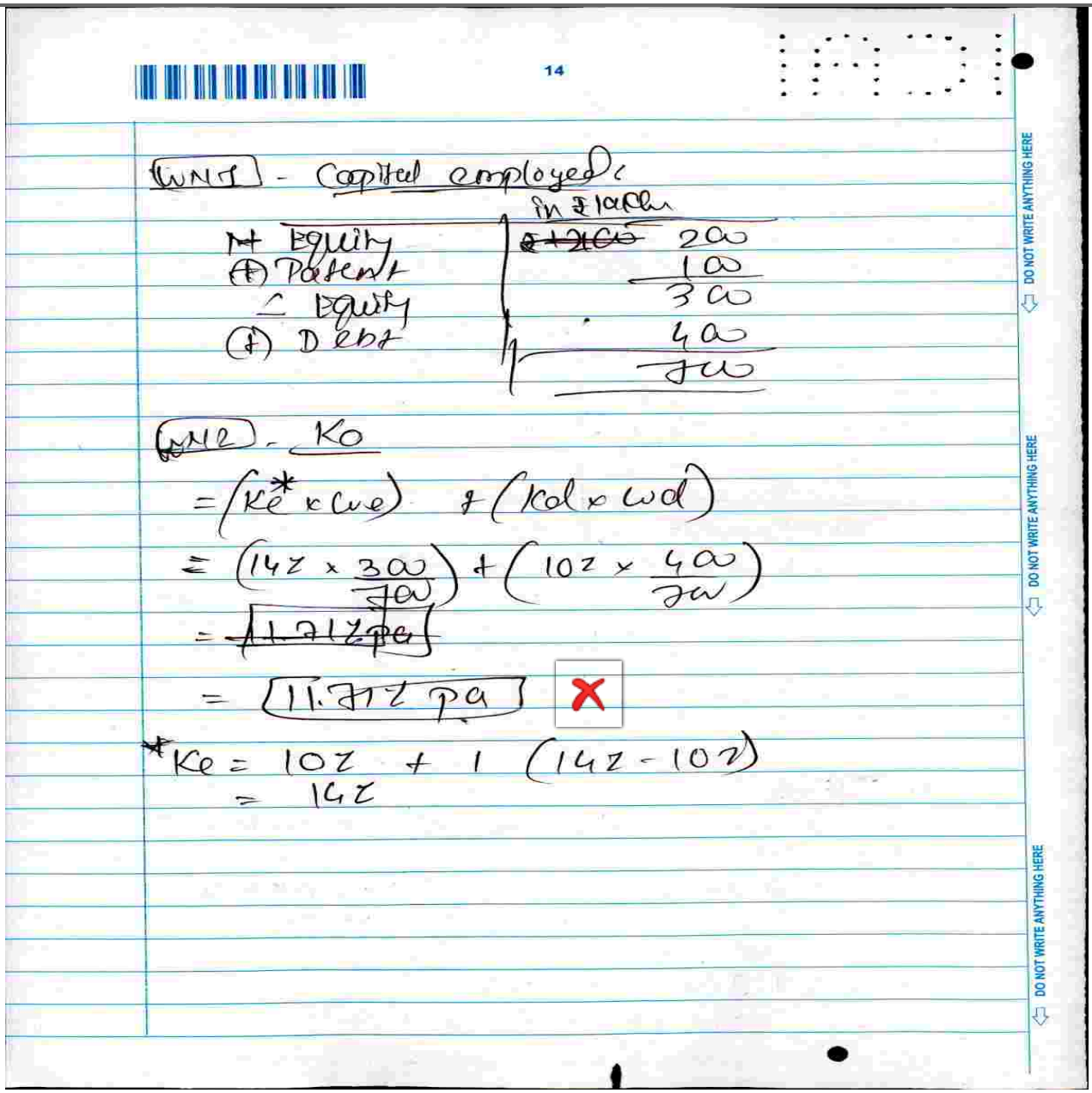
Q4(b)

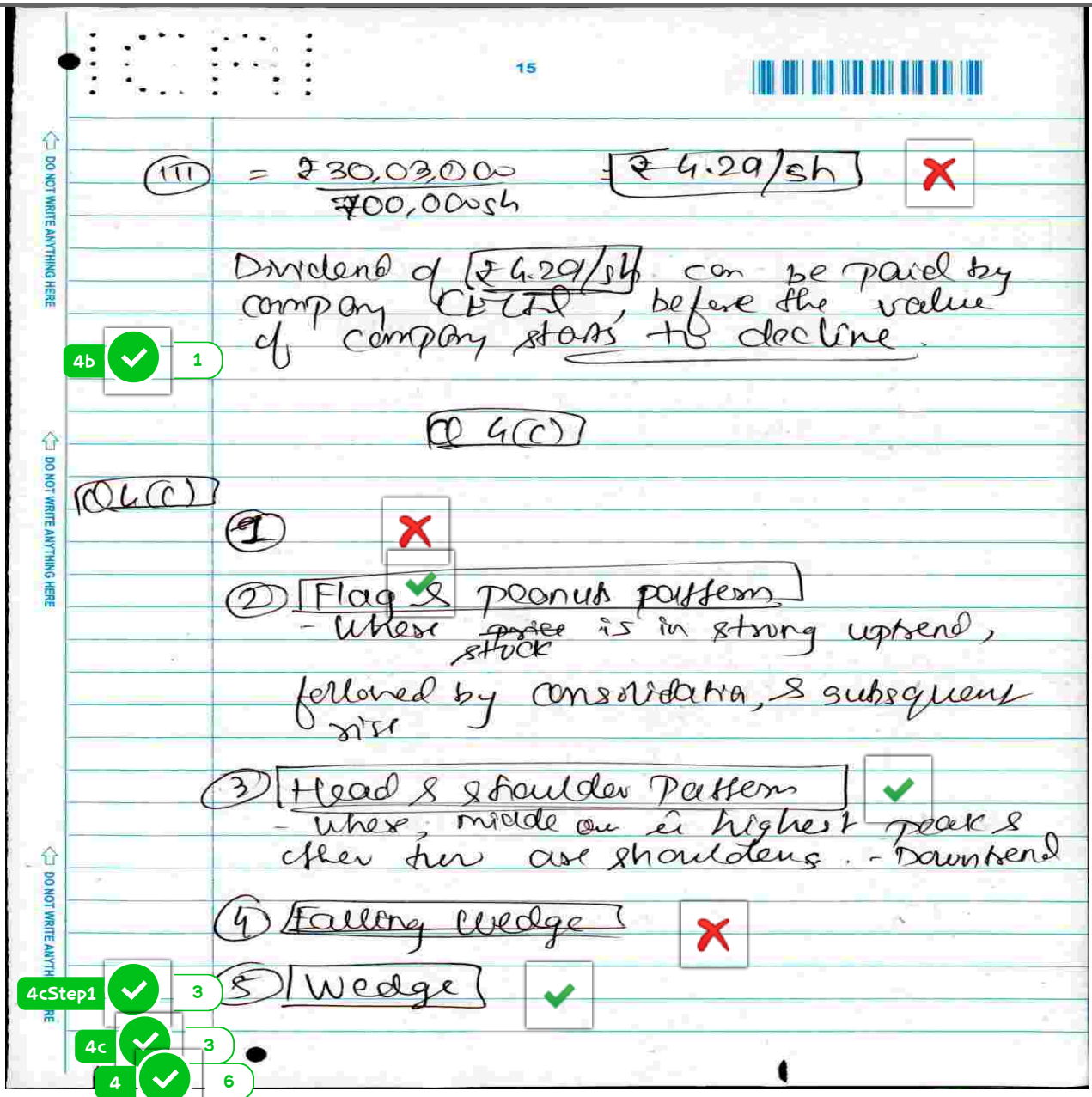
(i) Operating Income : [NOPAT = EBIT(1-T)]

	In ₹ Lakhs
Net Profit	84
(+) Tax [84/70 × 30]	36
= PBT	120
(+) Interest [400L × 10%]	40
[Assume Govt bond rate = 10% pa as debt Kd]	
= PBIT	160
(-) Tax @30%	(48)
= Operating Income	112

4bStep1 1

(ii) EVA =
= Operating Income − Capital Employed × Ko
= ₹ 112 Lakhs − [₹ 700 Lakhs × 11.71%]
= ₹ 30.03 Lakhs
or ₹ 30,03,000


14
WN1 - Capital employed:
in ₹ lakh
Equity 20
Retained 10
Equity 30
Debt 40
70
WN2 - Ko
= (Ke* × Cwe) + (Kd × Cwd)
= (14% × 30/70) + (10% × 40/70)
= 11.71% pa
= 11.71% pa
*Ke = 10% + 1 (14% - 10%)
= 14%
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE



15

(iii) = ₹30,03,000 / 700,00 sh = ₹4.29/sh

Dividend of ₹4.29/sh can be paid by company CEIL, before the value of company starts to decline.

Q 4(c)

(1)

(2) Flag & Pennus pattern
- When price is in strong upsend, stock followed by consolidation, & subsequent rise

(3) Head & Shoulder Pattern
- When, middle one is highest peak & other two are shoulders. - Downsend

(4) Falling Wedge

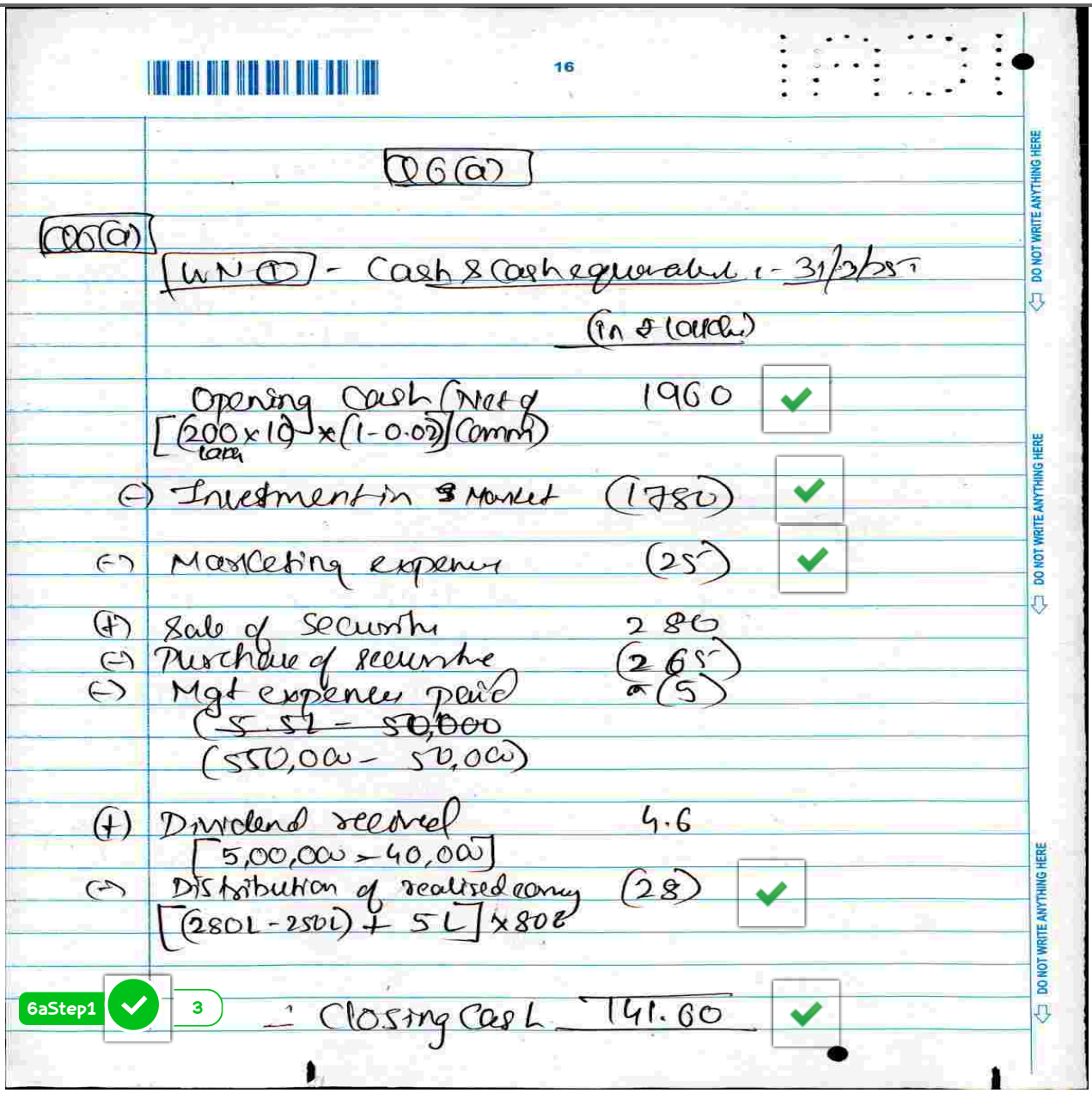
(5) Wedge

4b 1

4cStep1 3

4c 3

4 6



16

Q6(a)

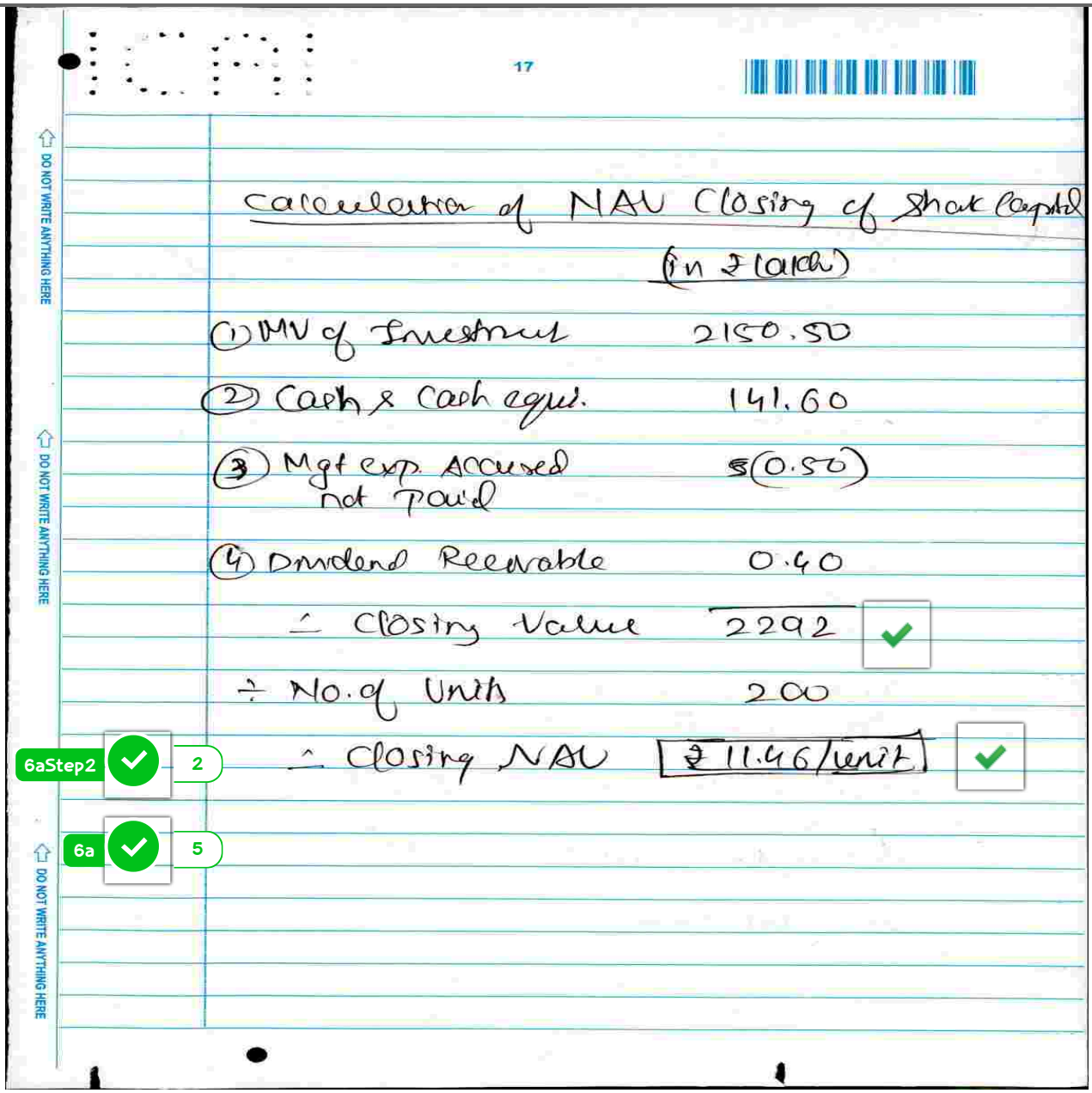
Q6(a)

WN ① - Cash & Cash equivalent as on 31/3/25

(in ₹ Lakh)

	Opening Cash (Net of [(200 Lakh × 10) × (1 - 0.02)] Comm)	1960
(-)	Investment in ₹ Market	(1780)
(-)	Marketing expenses	(25)
(+)	Sale of securities	280
(-)	Purchase of securities	(265)
(-)	Mgt expenses paid (5 Cr - 50,000 (550,000 - 50,000)	(5)
(+)	Dividend received [5,00,000 - 40,000]	4.6
(-)	Distribution of realised comm [(280L - 250L) + 5L] × 80%	(28)
	: Closing Cash	141.60

6aStep1 3



17

DO NOT WRITE ANYTHING HERE

Calculation of NAV Closing of Shark Capital

(in ₹ lakh)

(1) MV of Investment	2150.50
(2) Cash & Cash equi.	141.60
(3) Mgt exp. Accrued not Paid	₹(0.50)
(4) Dividend Receivable	0.40
∴ Closing Value	2292
÷ No. of Units	200
∴ Closing NAV	₹ 11.46/unit

6aStep2 2

6a 5

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

18

Q6(b)

Q6(b) [5M]

Calculation of Probability of rise & fall

$\therefore R_f = \text{(\% increase)} \times p + \text{(\% decrease)} \times (1-p)$

$\therefore 0.08 = 0.20p + (-0.30)(1-p)$

$0.08 = 0.20p - 0.30 + 0.30p$

$0.38 = 0.50p$

$\therefore p = 0.76$

$1-p = 0.24$

6bStep1 1

Prob. to rise is 76%

Prob to fall is 24%

Value of Abandonment Option

(Using Risk neutral model)

~~= 500 - 30%~~

→

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

19

DO NOT WRITE ANYTHING HERE

~~= (₹450L − (500 − 30%~~

~~= {(₹450L − [500 × (1 − 0.3)]) × 24%~~
~~{+[(₹500L × 120%) × 70%]~~

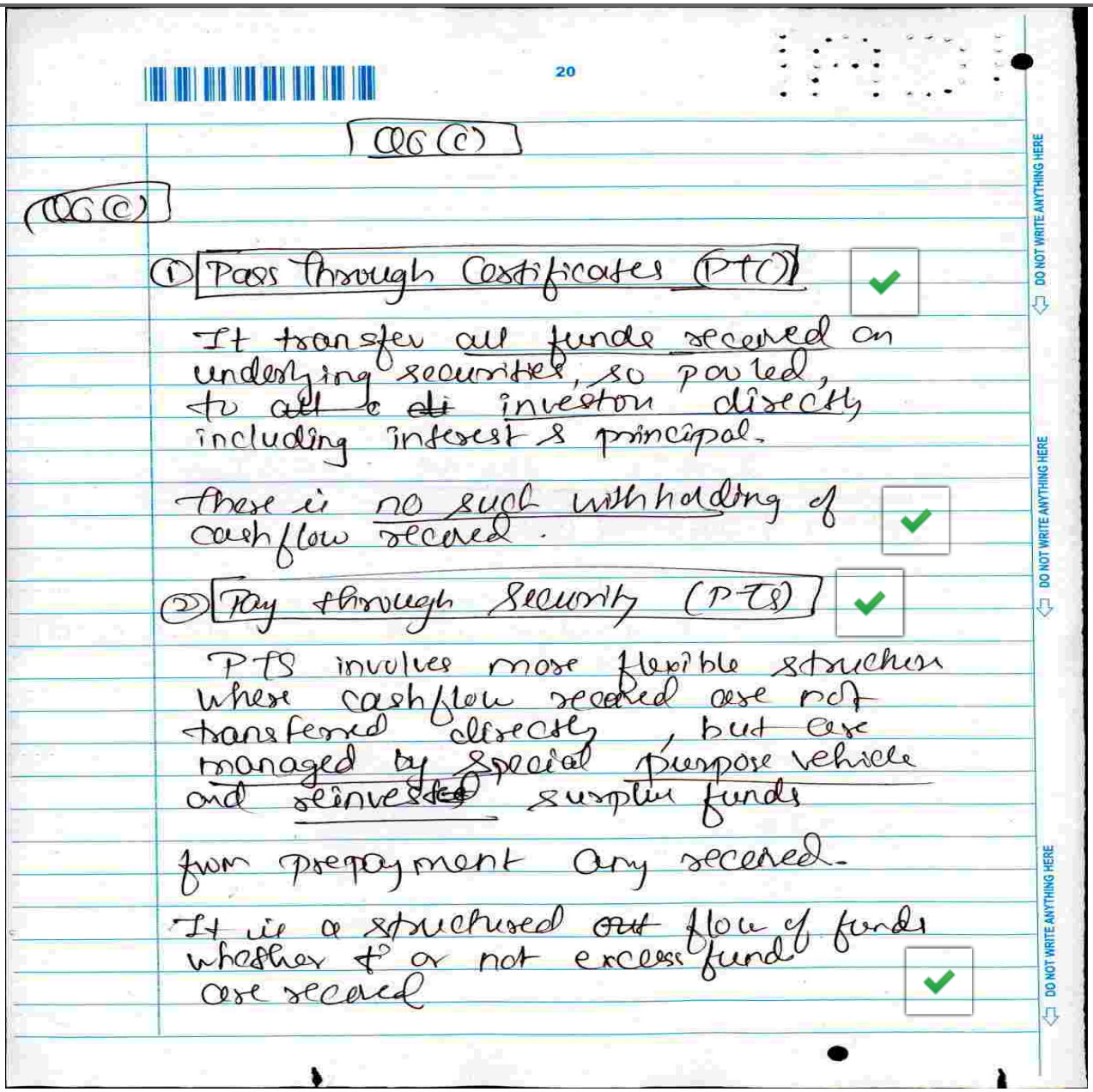
b

$$= \frac{₹450L - (₹500L \times 70\%)}{(1.08)}$$

= ₹92.59 Lakh

Value of abandonment option using risk neutral model is ₹92.59 Lakh or ₹92,59,000

6b 1



20

Q6 (c)

(Q6 (c))

(1) Pass Through Certificates (PTC)

It transfer all funds secured on underlying securities, so pooled, to all the investor directly including interest & principal.

There is no such withholding of cashflow secured.

(2) Pay through Security (PTS)

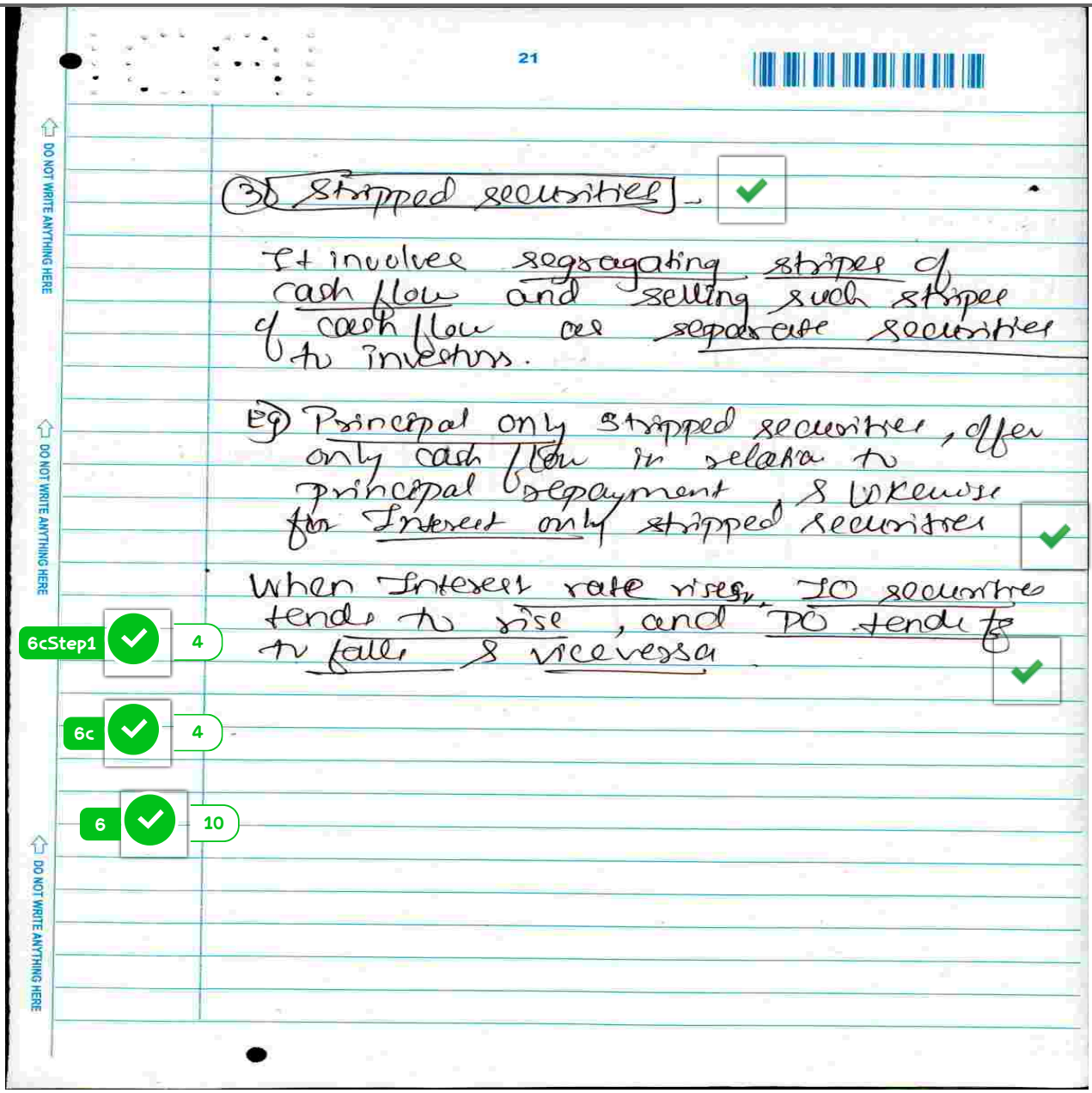
PTS involves more flexible structure where cashflow secured are not transferred directly, but are managed by Special purpose vehicle and reinvested surplus funds from prepayment any secured.

It is a structured flow of funds whether & or not excess fund are secured

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE



21

DO NOT WRITE ANYTHING HERE

(3) Stripped securities -

It involves segregating stripes of cash flow and selling such stripes of cash flow as separate securities to investors.

Eg) Principal only stripped securities, offer only cash flow in relation to principal repayment & likewise for Interest only stripped securities

When Interest rate rises, IO securities tends to rise, and PO tends to fall & viceversa.

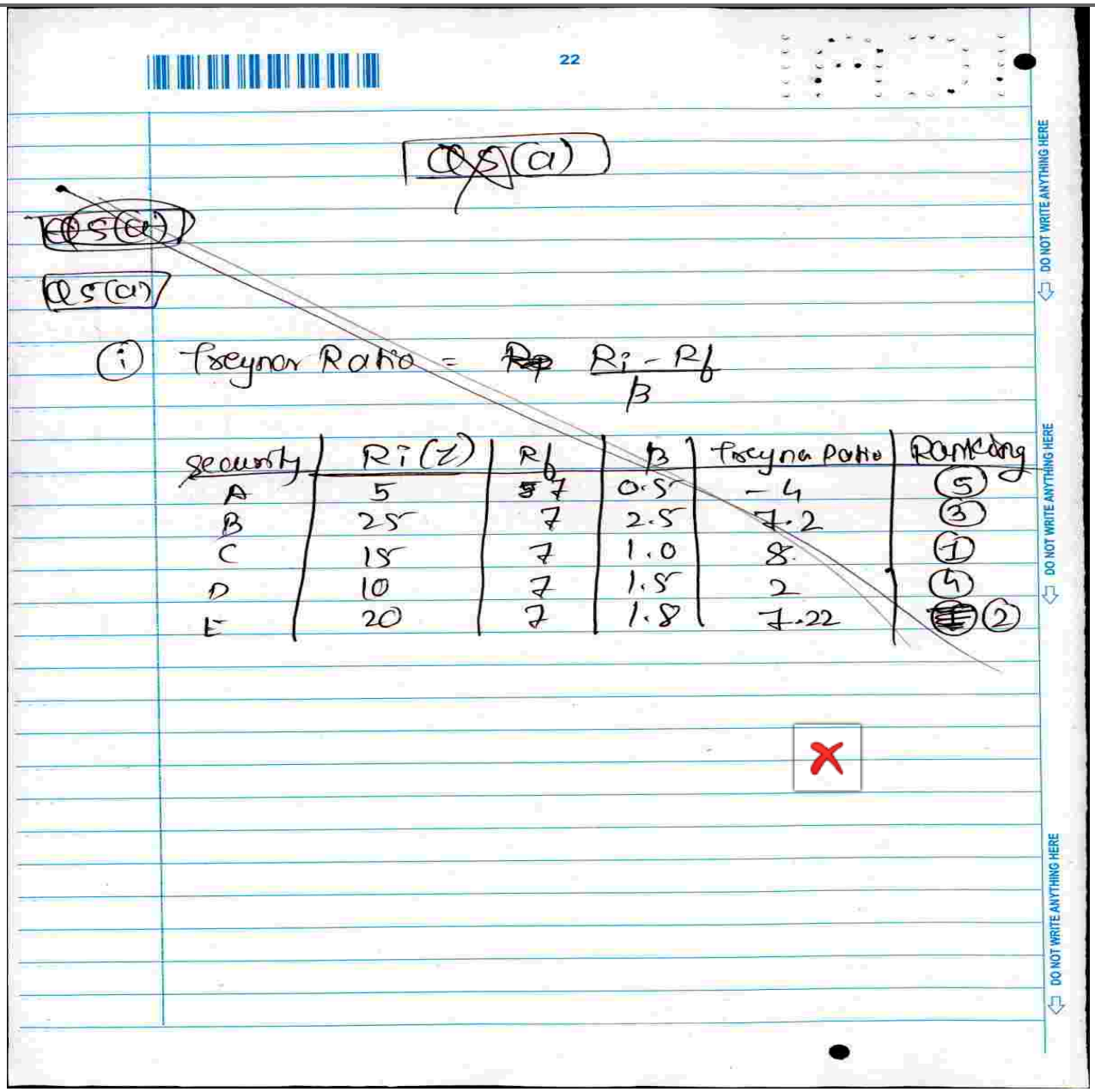
6cStep1 4

6c 4

6 10

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE



22

Q5(a)

Q5(a)

Q5(a)

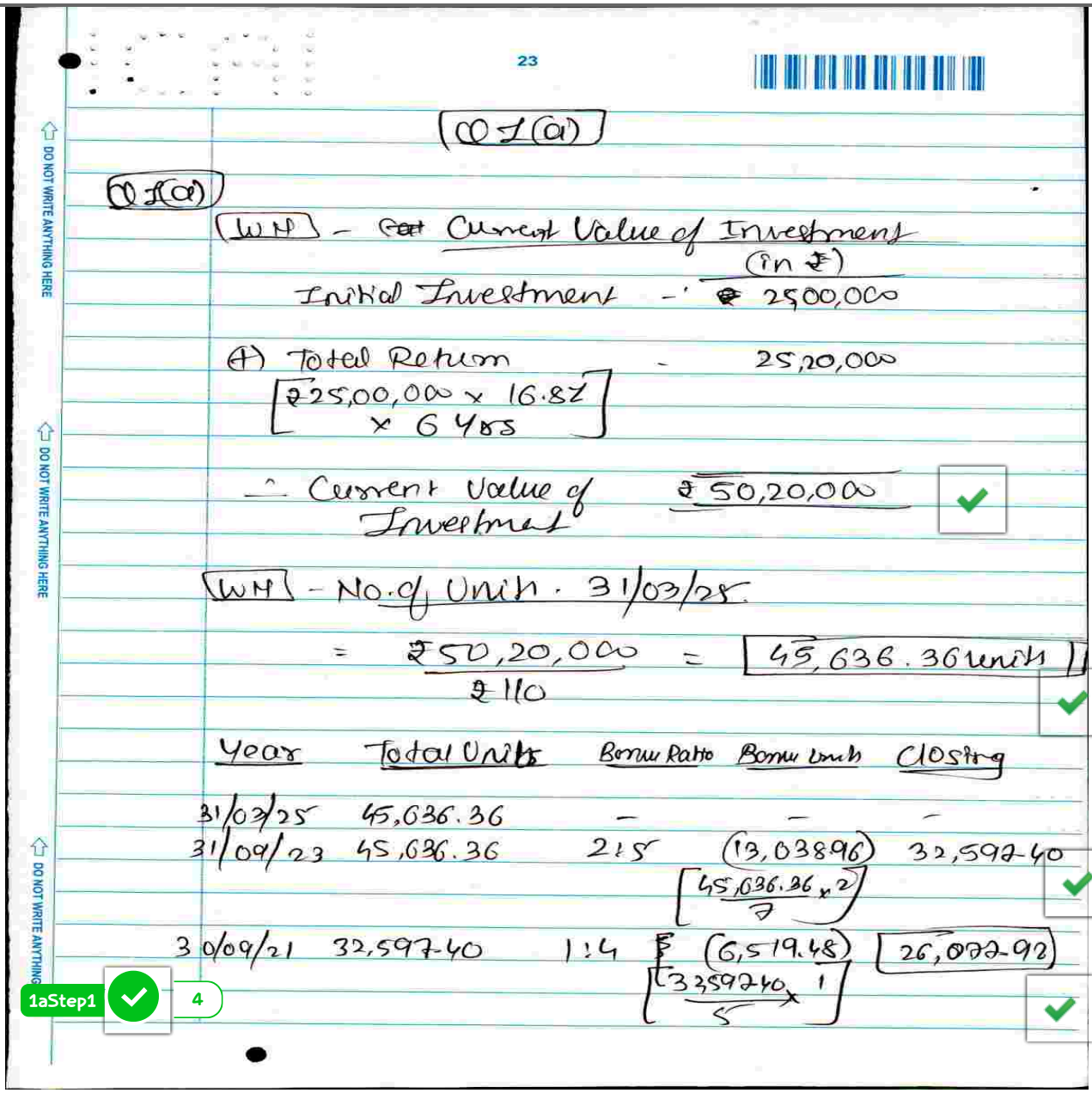
(i) Treynor Ratio = $\frac{R_i - R_f}{\beta}$

Security	R_i (%)	R_f	β	Treynor Ratio	Ranking
A	5	7	0.5	-4	(5)
B	25	7	2.5	7.2	(3)
C	15	7	1.0	8	(1)
D	10	7	1.5	2	(4)
E	20	7	1.8	7.22	(2)

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE



23

Q1(a)

Q1(a)

WN - Current Value of Investment

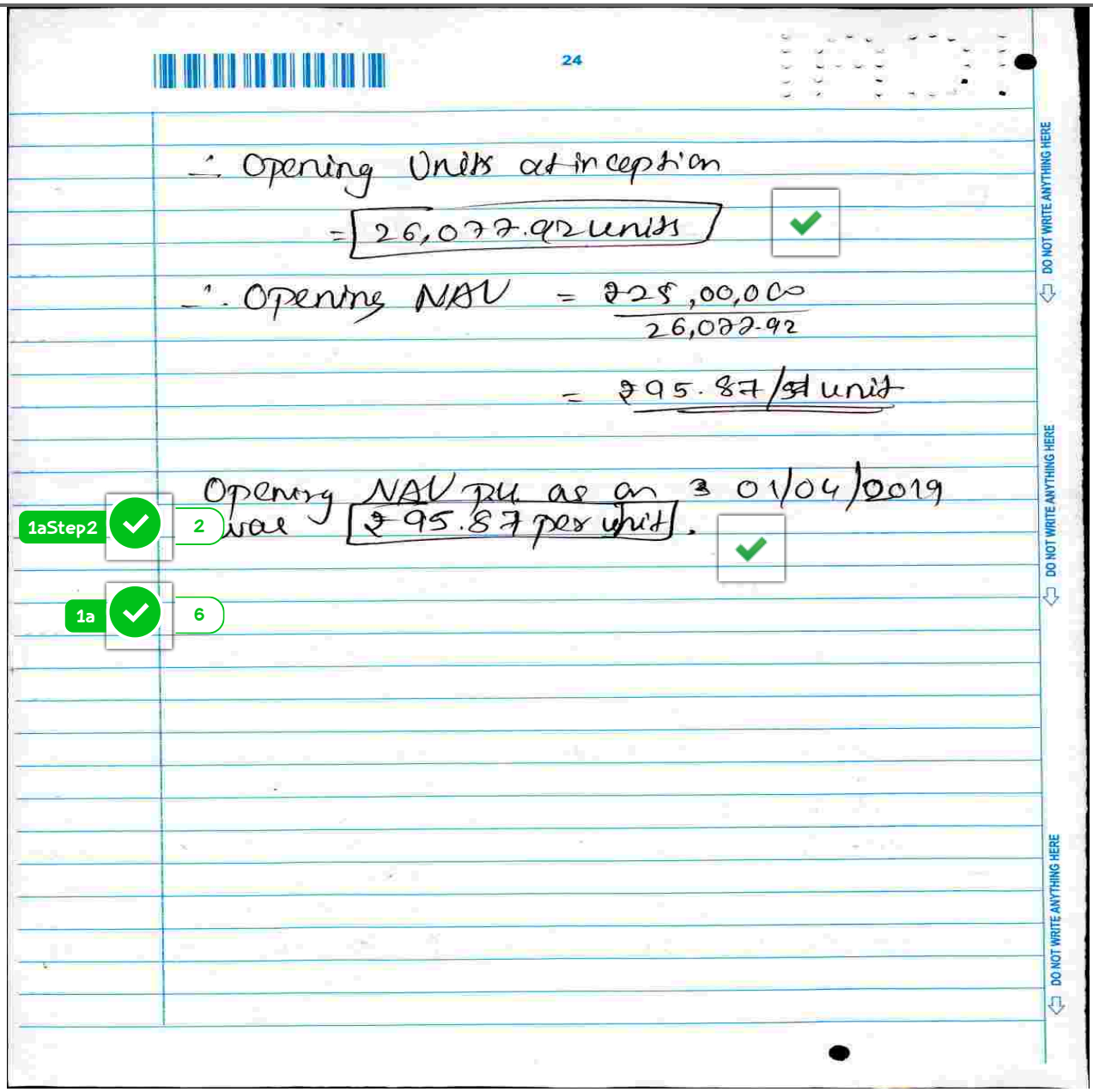
	(in ₹)
Initial Investment	2500,000
A) Total Return [₹25,00,00 × 16.8% × 6 Yrs]	25,20,000
∴ Current Value of Investment	₹ 50,20,00

WN - No. of Units - 31/03/25

= ₹50,20,000 / ₹110 = 45,636.36 units

Year	Total Units	Bonus Ratio	Bonus Units	Closing
31/03/25	45,636.36	-	-	-
31/09/23	45,636.36	2:5	(13,038.96) [45,636.36 × 2/7]	32,597.40
30/09/21	32,597.40	1:4	(6,519.48) [32,597.40 × 1/5]	26,077.92

1aStep1 4



24

∴ Opening Units at inception

= 26,022.92 units ✓

∴ Opening NAV = ₹25,00,000 / 26,022.92

= ₹95.87/unit

Opening NAV p.u as on 31/04/2019 was ₹95.87 per unit. ✓

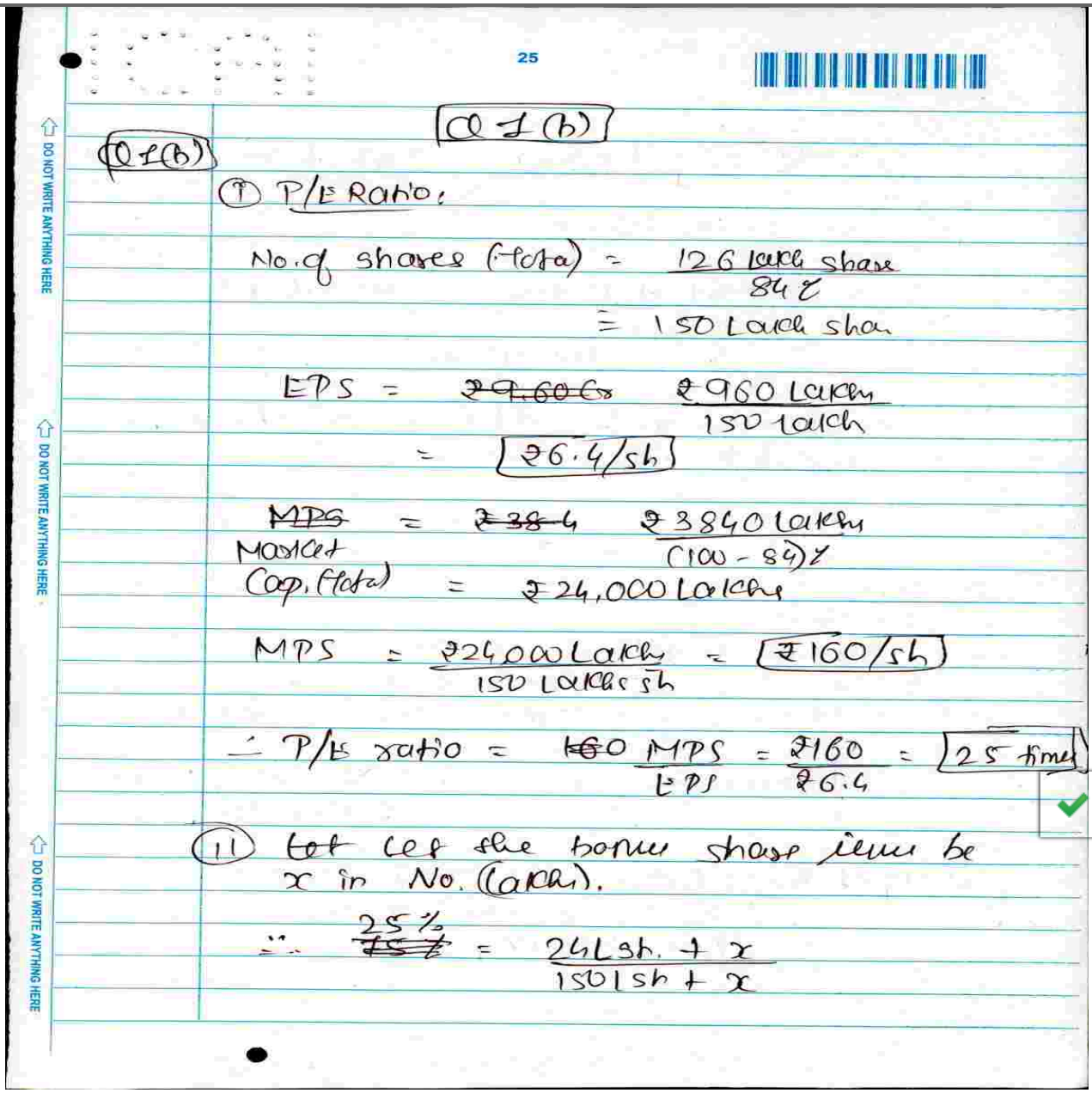
1aStep2 ✓ 2

1a ✓ 6

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE



25

Q 1 (b)

~~Q 1 (b)~~

(i) P/E Ratio:

No. of shares (Total) = 126 Lakh share / 84%

= 150 Lakh shares

EPS = ~~₹9.60 Cr~~ ₹960 Lakh / 150 Lakh

= ₹6.4/sh

~~MPS~~ Market Cap. (Total) = ~~₹38.4~~ ₹3840 Lakhs / (100 - 84)%

= ₹24,000 Lakhs

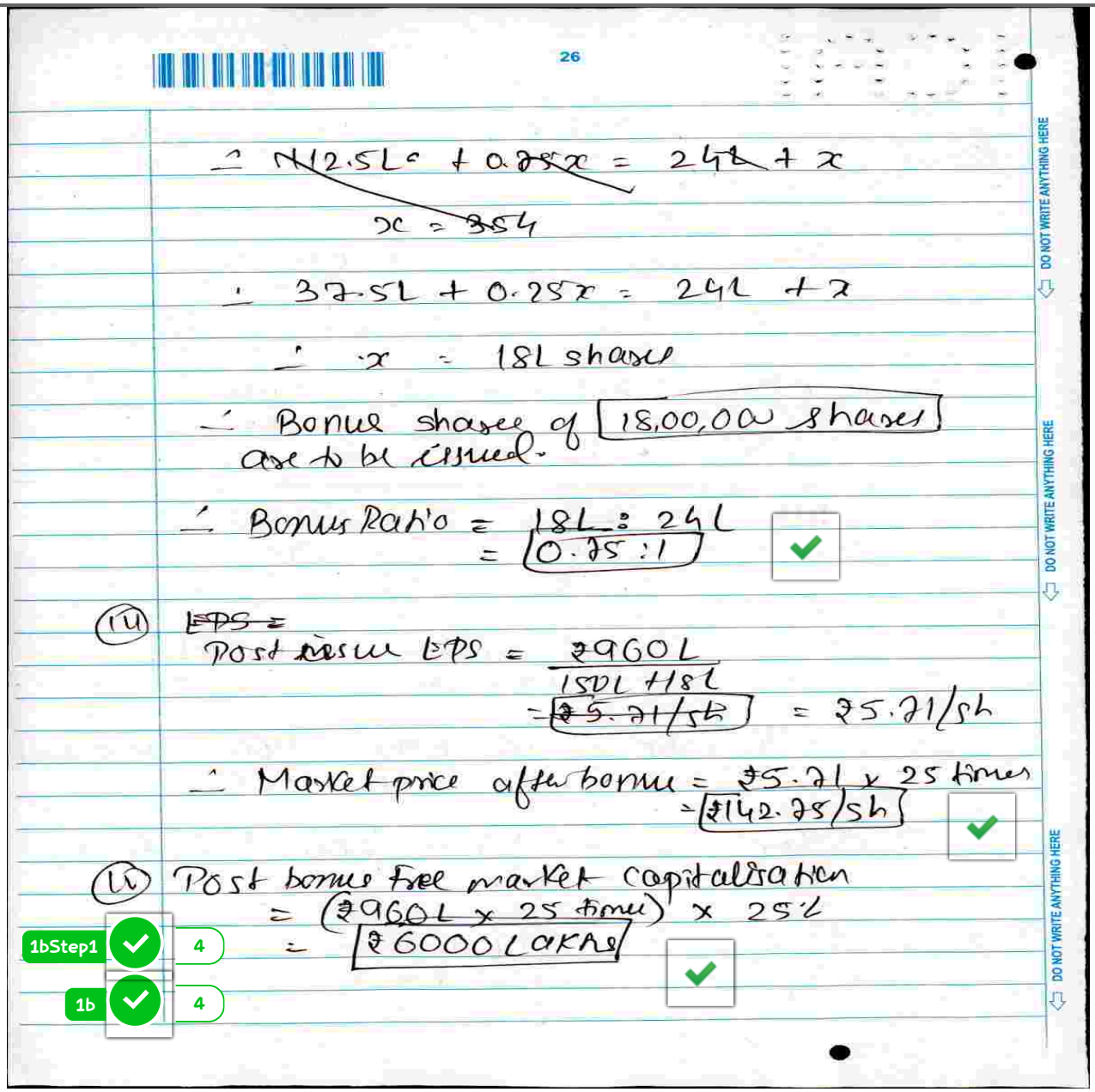
MPS = ₹24000 Lakh / 150 Lakhs sh = ₹160/sh

∴ P/E ratio = ~~160~~ MPS / EPS = ₹160 / ₹6.4 = 25 times

(ii) Let the bonus share issue be x in No. (Lakh).

∴ ~~25%~~ = 24 Lsh. + x / 150 lsh + x

DO NOT WRITE ANYTHING HERE



26

$\therefore$ ~~412.5L~~ + ~~0.25x~~ = 24L + x

~~x = 354~~

$\therefore$ 37.5L + 0.25x = 24L + x

$\therefore$ x = 18L shares

$\therefore$ Bonus shares of 18,00,000 shares are to be issued.

$\therefore$ Bonus Ratio = 18L : 24L
= 0.75 : 1

(iv) ~~EPS =~~
Post issue EPS = ₹960L / (150L + 18L)
= ~~₹5.71/sh~~ = ₹5.71/sh

$\therefore$ Market price after bonus = ₹5.71 x 25 times
= ₹142.75/sh

(v) Post bonus free market capitalisation
= (₹960L x 25 times) x 25%
= ₹60000 LAKHS

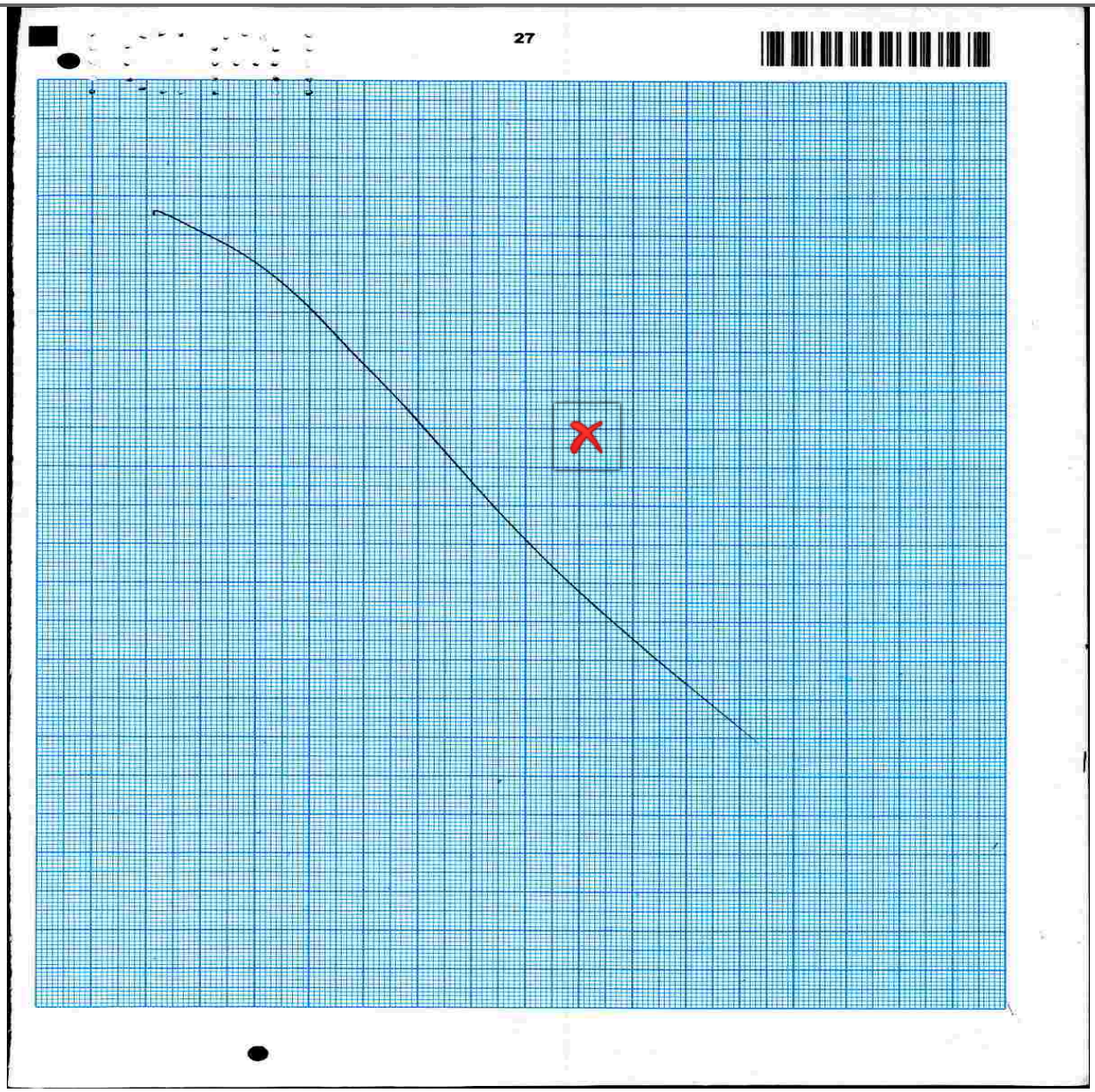
1bStep1 4

1b 4

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE


27

28

Roughs

Buy 86.80
Sell 86.50
Outflow 0.30

3500 × 152 × 31/365

0.1520 = Rf + 0.36 (0.1588 − Rf)
0.1520 = Rf + 0.0584 − 0.36 Rf
0.058390

= 0.1562 + 0.6 (0.1588 − 0.1562)

let let bonus be (x)
150L x

75Z = (24L + x) / (150L + x)

07 JAN 2026

2107494-01

Addl. Book No. .....1.....

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK

DO NOT WRITE ANYTHING HERE

Q1(C)

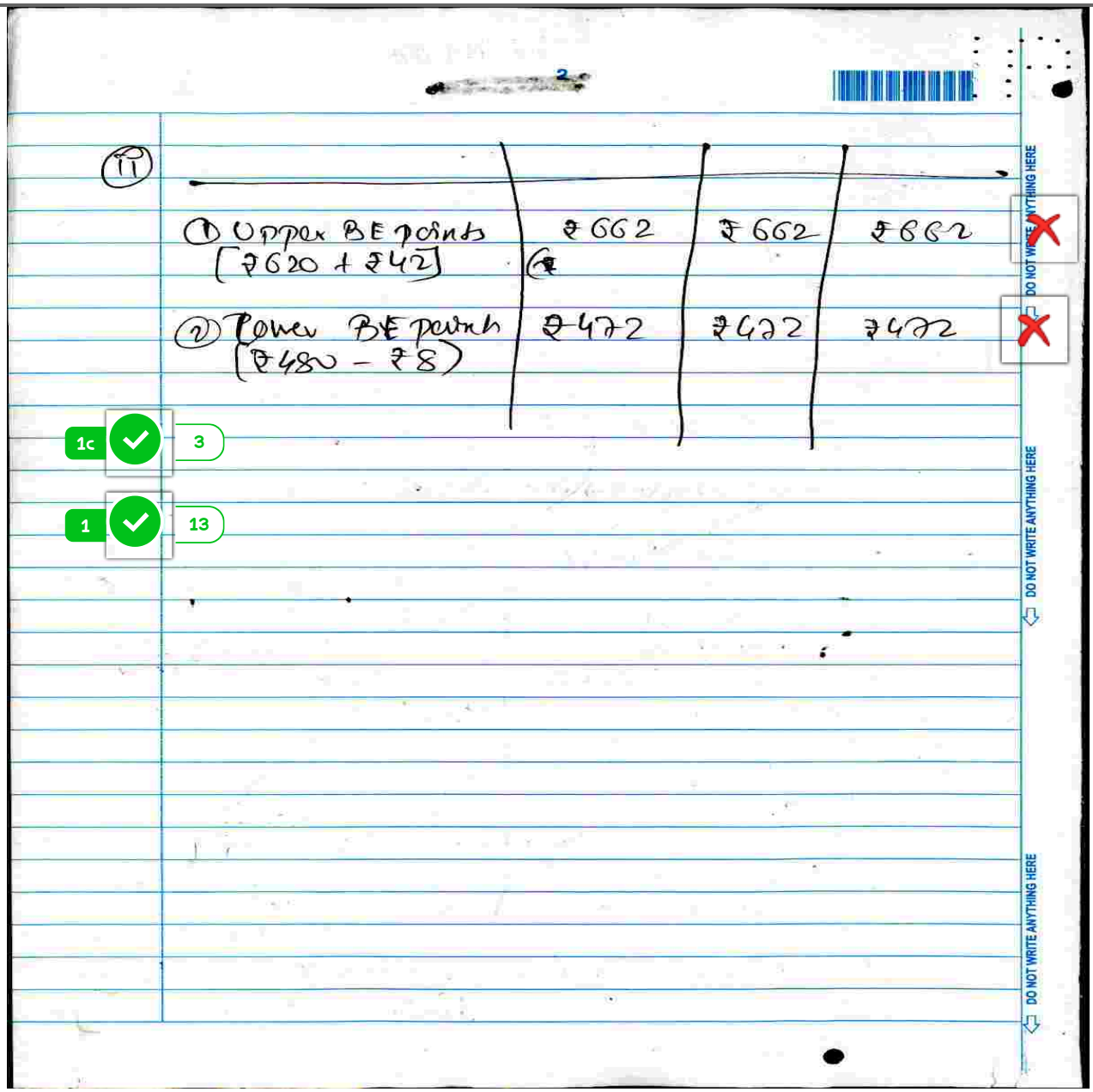
Q1(C)

(i) Net Profit / loss :

(a) If share price = ₹550 :-

Gross Pay off	Strike Price	CO = 620	PO 480
Share Price	₹550	₹380	₹680
(1) Call Premium (₹42 x 150 Sh.)	(6,300)	(6,300)	(6,300)
(2) Put Premium (₹8 x 150)	(1,200)	(1,200)	(1,200)
(3) Call exercise	—	—	9,000 (60 x 150)
(4) Put exercise	—	15000 (100 x 150)	—
∴ Net Gain/loss	(7,500) Loss	7,500 Gain	1,500 Gain

1cStep1 3



(ii)

(1) Upper BE points [₹620 + ₹42]	₹662	₹662	₹662
(2) Lower BE point [₹480 − ₹8]	₹472	₹472	₹472

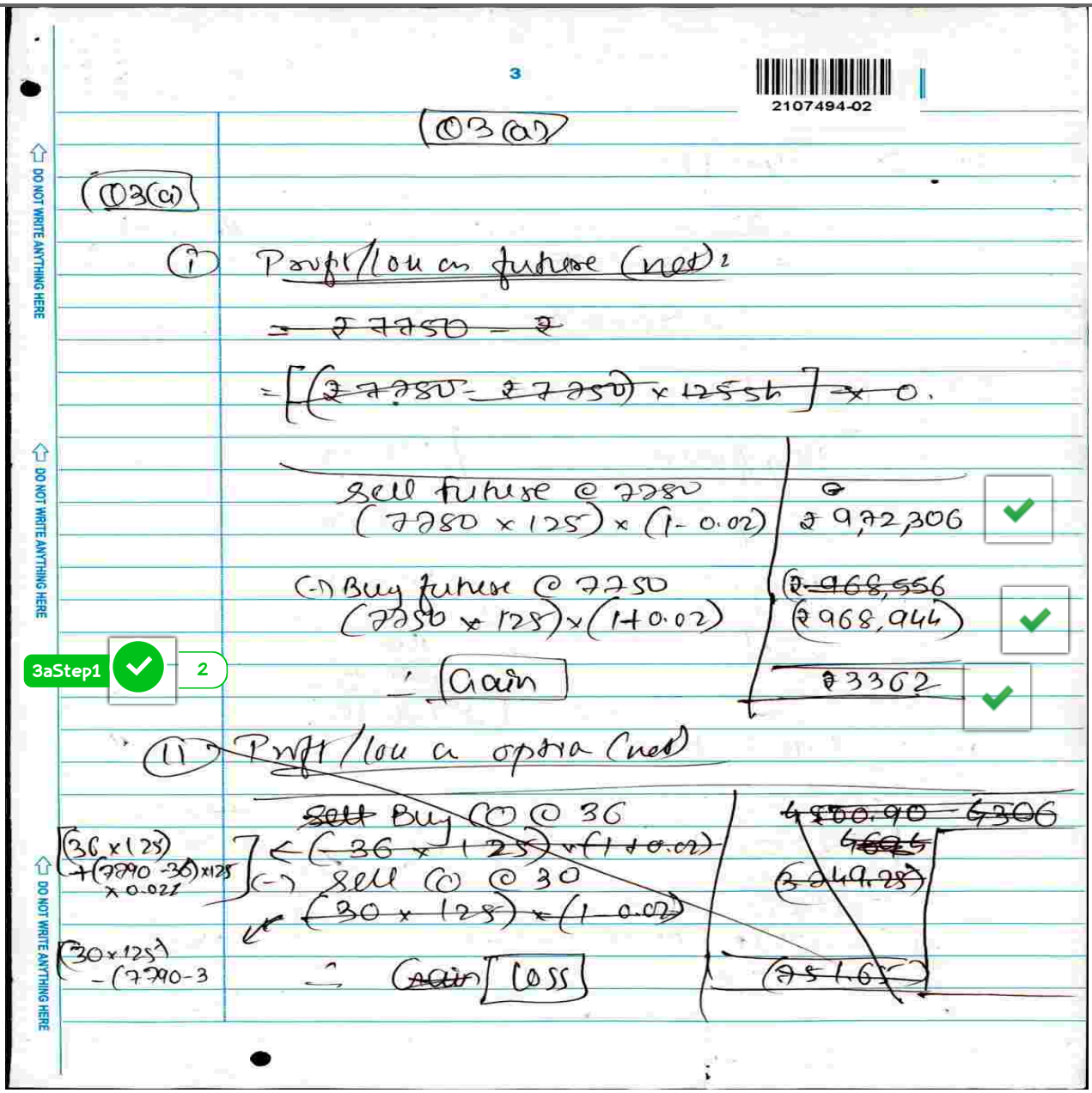
DO NOT WRITE ANYTHING HERE

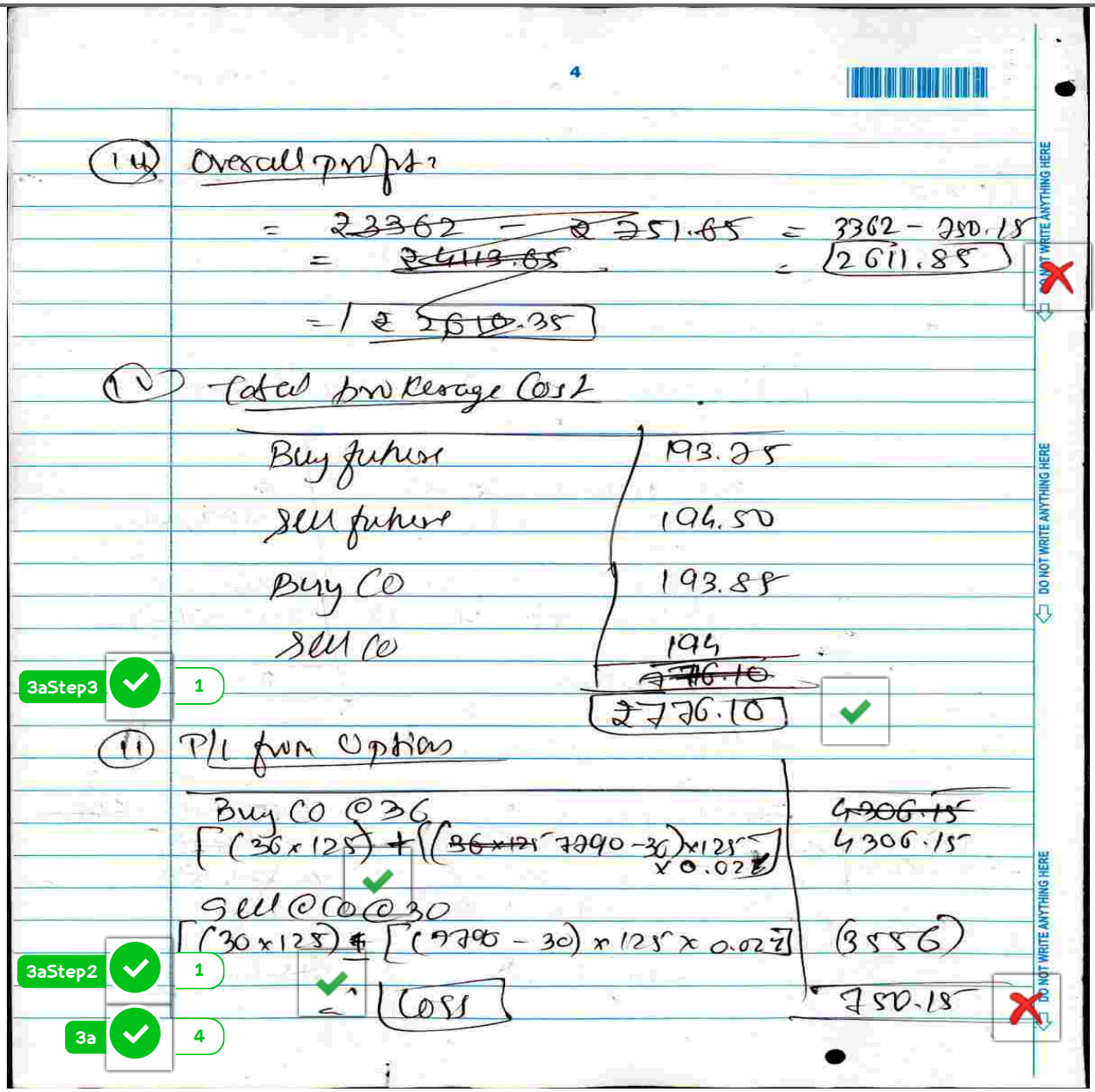
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

1c 3

1 13


3
2107494-02
Q3(a)
Q3(a)
(i) Profit/loss on future (net)
Sell future @ 7280
(7280 × 125) × (1 - 0.02)
₹ 9,72,306
Buy future @ 7250
(7250 × 125) × (1+0.02)
(₹ 968,556)
(₹968,944)
: Gain
₹3362
(ii) Profit/loss on optns (net)
Buy (C) @ 36
Sell (C) @ 30
: Gain [Loss]
DO NOT WRITE ANYTHING HERE
3aStep1
2



4

(14) Overall profit?

= 23362 − ~~₹ 251.65~~ = 3362 − 250.15
= ~~24113.65~~ = 2611.85
= ~~₹ 2610.35~~

(15) Total Average Cost

Buy future	193.25
Sell future	196.50
Buy CO	193.85
Sell CO	194
	~~776.10~~
	2776.10

3aStep3 1

(11) P/L from Options

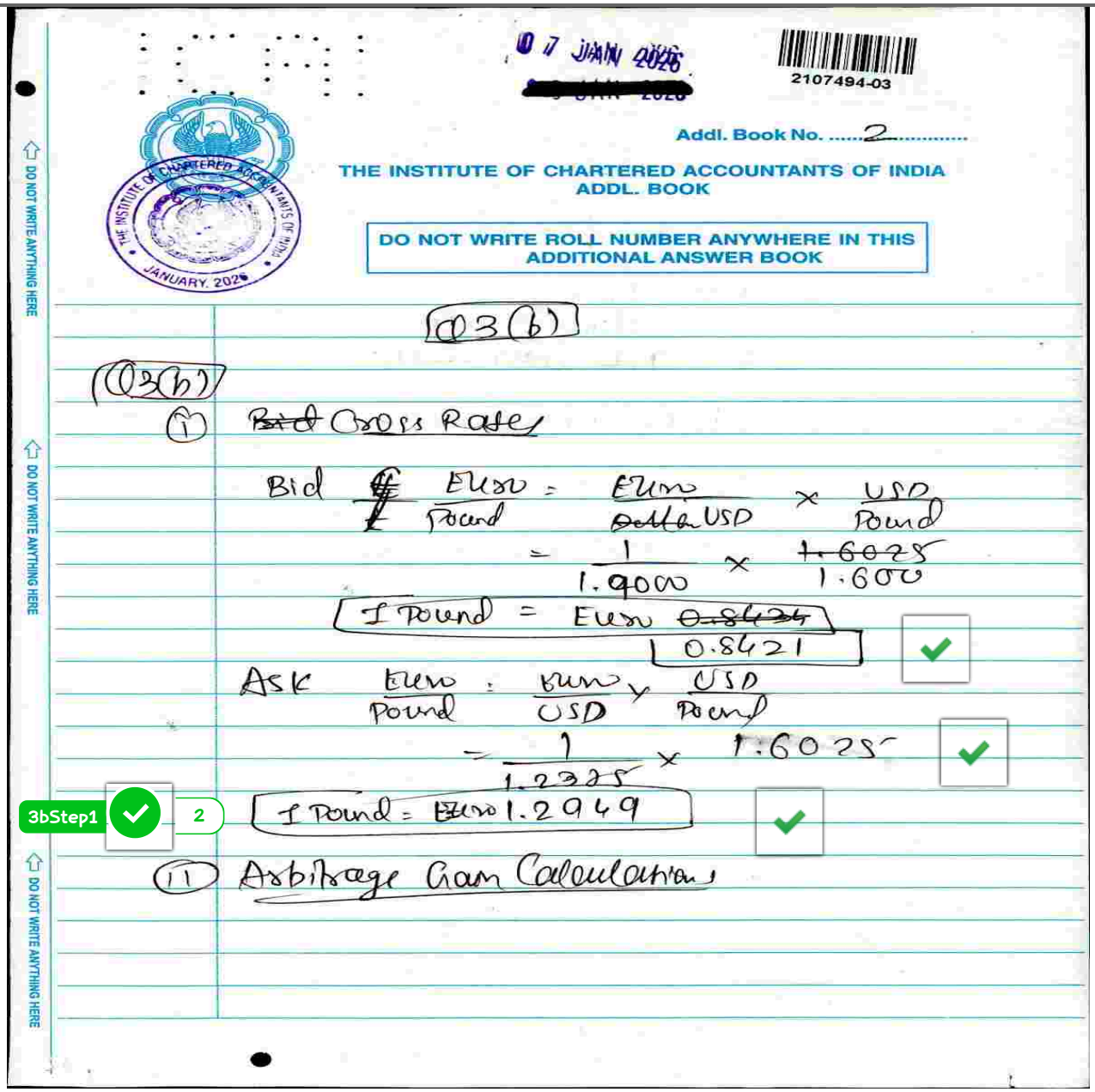
Buy CO @ 36
[(36 × 125) + ((~~36×125~~ 7790 − 30) × 125 × 0.02)] ~~4306.15~~ 4306.15

Sell @ CO @ 30
[(30 × 125) + [(7790 − 30) × 125 × 0.02]] (3556)

3aStep2 1

Loss 750.15

3a 4



07 JAN 2026

2107494-03

Addl. Book No. ..... 2 .....

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK

JANUARY, 2026

DO NOT WRITE ANYTHING HERE

Q3(b)

Q3(b)

(i) ~~Bid~~ Cross Rate

Bid € / £ Euro / Pound = Euro / ~~Dollar~~ USD × USD / Pound

= 1 / 1.9000 × ~~1.6025~~ / 1.6000

1 Pound = Euro ~~0.8434~~ 0.8421

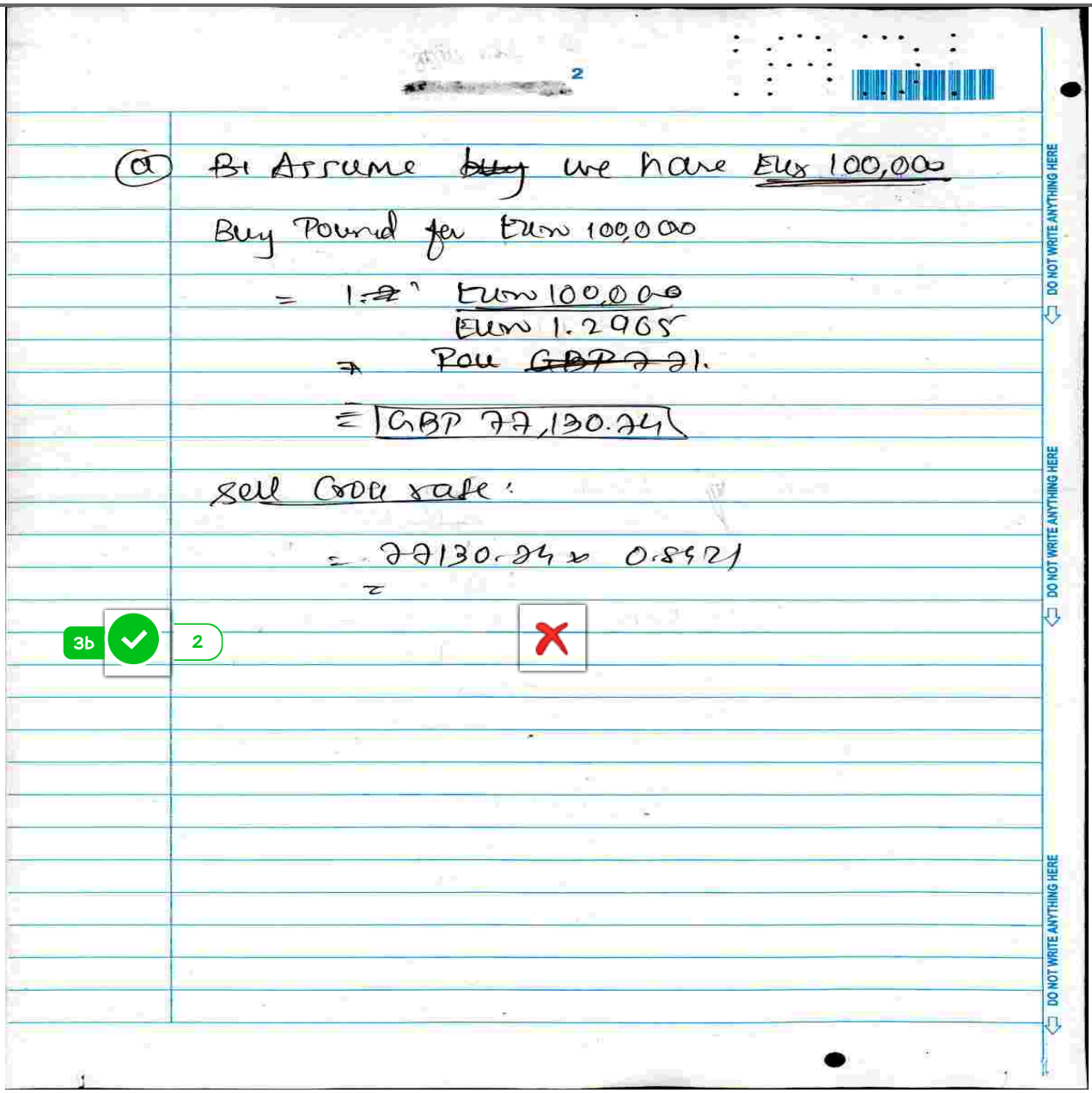
Ask Euro / Pound : Euro / USD × USD / Pound

= 1 / 1.2325 × 1.6025

1 Pound = Euro 1.2949

3bStep1 2

(ii) Arbitrage Gain Calculation



(a) Bi Assume ~~buy~~ we have Euro 100,000

Buy Pound for Euro 100,000

$= \frac{\text{Euro } 100,000}{\text{Euro } 1.2905}$

= Pou ~~GBP 7 91.~~

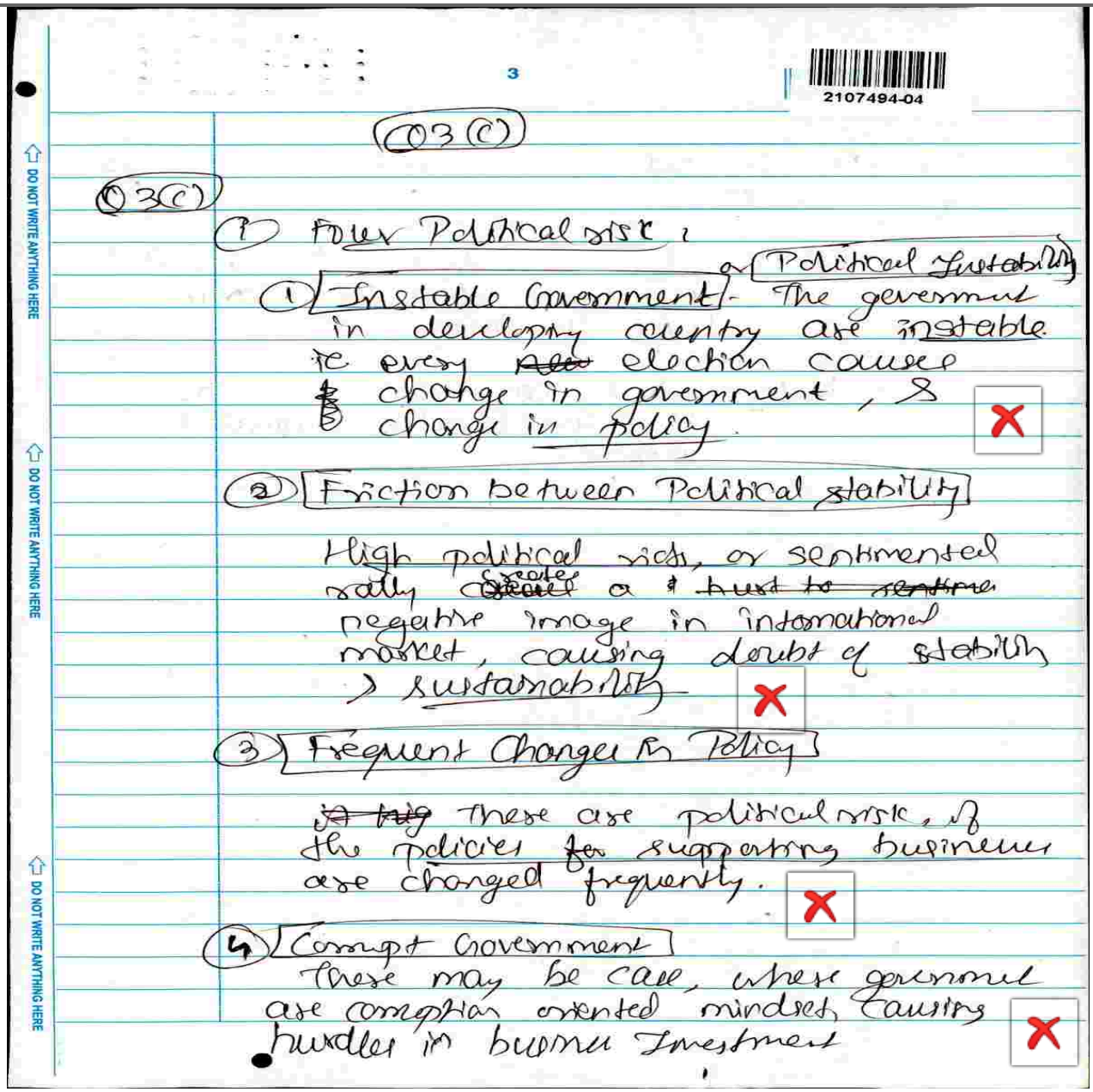
= GBP 77,130.24

Sell Cross rate:

= 77130.24 × 0.8921

=

3b ✓ 2 ✗



3

2107494-04

Q3(c)

Q3(c)

(1) Four Political risk :

(1) Instable Government / Political Instability - The governmt in developing country are instable ie every election causes change in government, & change in policy.

(2) Friction between Political stability

High political risk, or sentimental rally create a hurt to negative image in international market, causing doubt of stability > sustainability

(3) Frequent Changes in Policy

These are political risk, if the policies for supporting business are changed frequently.

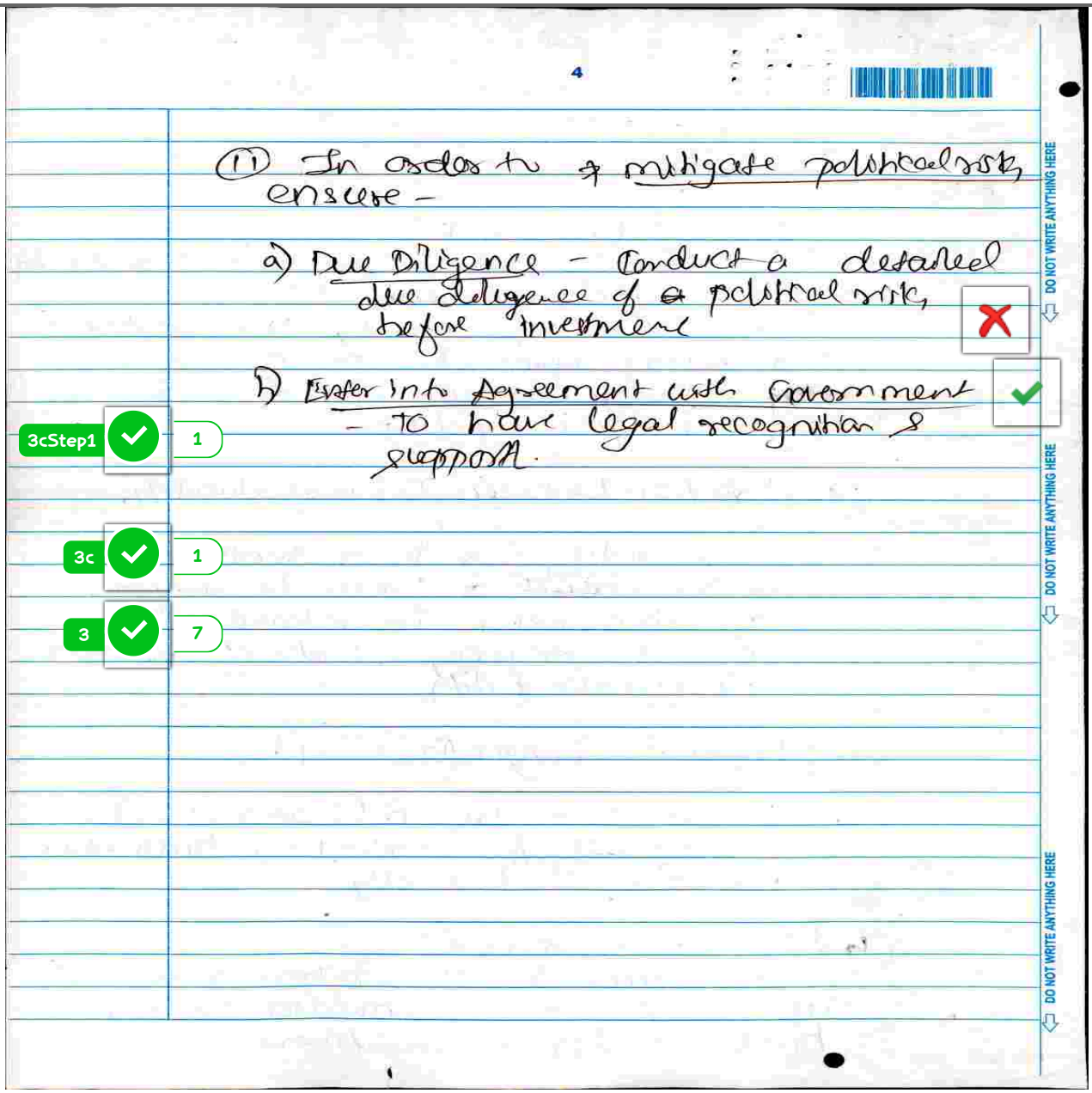
(4) Corrupt Government

These may be call, where governmt are corruption oriented mindset causing hurdles in business Investment

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE



4

(11) In order to mitigate political risk, ensure -

a) Due Diligence - Conduct a detailed due diligence of a political risk, before investment

b) Enter into Agreement with Government - to have legal recognition & support.

3cStep1 1

3c 1

3 7

The Institute of Chartered Accountants of India

Code: FN2AF107494
Subject : 02 Advanced Financial Management

Total Marks: 70
Marks Obtained : 47

Result Overview

Awarded Marks: 47

Max Marks:70

NA Not Attempted O Optional M Marked

Q1_Compulsory (Score: 13/14)

Question No	Awarded Marks	Maximum Marks	Status
1	13	14	M
1a	6	6	M
1b	4	4	M
1c	3	4	M

Q2_Q6 (Score: 34/56)

Question No	Awarded Marks	Maximum Marks	Status
2	11	14	M
2a	6	6	M
2b	2	4	M
2c	3	4	M
3	7	14	M
3a	4	6	M
3b	2	4	M
3c	1	4	M
4	6	14	M
4a	2	6	M
4b	1	4	M
4c	3	4	M

5	0	14	O
5a	0	8	O
5b	0	6	O
6	10	14	M
6a	5	6	M
6b	1	4	M
6c	4	4	M